

Anant Raj (ANANTRAJ)

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Anant Raj Limited
CIN: L45400HR1985PLC021622
Head Off : H-65, Connaught Circus, New Delhi -110 001
Tel : 011- 43034400, 23324127, 23323880 Fax : 011- 43582879
Email : info@anantrajlimited.com Website : www.anantrajlimited.com
Regd. Office : CP -1, Sector -8, IMT Manesar, Haryana -122051
Telefax : (0124) 4265817

ARL/CS/ 13270 May 4, 2023
The Secretary,
The National Stock Exchange of India
Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G-Block, Bandra – Kurla
Complex, Bandra (E), Mumbai -400051

Scrip code: ANANTRAJ The Manager
Listing Department
The BSE Limited ,
Phiroze Jee Bhoy Towers,
Dalal Street, Mumbai – 400001

Scrip code: 515055

Sub: Transcript of Earnings Call for the quarter and year ended March 31, 2023
Ref: Regulation 30 of the SEBI (Listing obligations & Disclosure Requirements)
Regulations, 2015

Dear Sir,
In continuation to our intimation dated April 25, 2023, please find enclosed a transcript of the Earnings Call held on April 27, 2023 for the quarter and year ended March 31, 2023 .
The transcript is also available on the Company's website at www.anantrajlimited.com .

Kindly take the above intimation on your records.
Thanking you.
For Anant Raj Limited

Manoj Pahwa
Company Secretary
A7812

Page 1 of 15

"Anant Raj Limited Q4 FY2023 Earnings
Conference Call "

April 27, 2023

MANAGEMENT : MR. AMIT SARIN - MANAGING DIRECTOR - ANANT RAJ
LIMITED
MR. PANKAJ GUPTA - CHIEF FINANCIAL OFFICER -
ANANT RAJ LIMITED
A
NALYST : MR. RAJAT GUPTA – GO INDIA ADVISORS

Anant Raj Limited

April 27, 2023

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to Q4 FY2023 Earnings Conference Call of Anant Raj Limited hosted by Go India Advisors . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajat Gupta from Go India Advisors . Thank you and over to you Sir!

Rajat Gupta : Thank you Calvin . Good afternoon, everyone and welcome to Anant Raj Limited earnings call to discuss Q4 and FY2023 results . We have on the call with us today, Mr. Amit Sarin , Managing Director and Mr. Pankaj Gupta, Chief Financial Officer. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces. I now request Mr. Amit Sarin to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you sir.

Amit Sarin : Thank you Rajat. Namaskar to everyone and thank you for taking out the time to join us for this call, we really appreciate that. As this is the first time, we are doing a call like this , so most of you would be knowing about the company, may be some of you do not, so we just give you a brief background and then take you on forward to the what we have done in this quarter and then we will open the floor for questions. So just a brief background , our family has been in this business since 1902. The construction business was started by a great grandfather. We are three brothers involved in this business and we are now the fourth generation doing the same business. This construction business now was started by our Founder Chairm

an, Shri Ashok Sarin in 1969. For the first 20 years, we were a pure construction company, and we were mainly doing construction for Government of India, Delhi Development Authorities and other government bodies . Simultaneously while we were doing this , we were making our own land bank investing money into land and holding onto it. By 1990, we had enough land bank of our own and we stopped doing outside construction and started focusing on in-house development of commercial aspects and that is how the group was going forward. The first game-changer came into the group in 2000 when banks recognized real estate as an industry and companies like us started availing of loans from banks, prime bank for Anant Raj Group has always been State Bank of India. So we started availing of loans from them at that time. Anant Raj Limited April 27, 2023

Page 3 of 15 The second game-changer came in 2003 when the government abolished land ceiling and this allowed companies like us to consolidate. Prior to that our company's work as such used to be all scattered in various companies because of land ceiling laws, but once the land ceiling laws in certain areas were abolished and in certain areas were simplified , this allowed people like us to consolidate. When we started the consolidation process, our founder chairman decided that all the consolidation of the group should be done in the listed company. Amongst about almost 100 companies which the group had or all associate companies, we only had one listed company which fortunately is the company now Anant Raj Limited, prior to that it had different names, but now this is the name, so all the consolidation was done in this company. At that time, the honorable NCLT was not made, so the demerges had to go through the process through the Honorable High Court of Delhi and this used to take a sometime.

So we did three mergers. Starting from 2005 to 2010 and in these three merges whatever assets the family had were all merged into Anant Raj Limited and going forward in 2010 it became one company, so this is as far as the structure goes . While the mergers were also going on , the focus of the company had always been commercial assets . We were specialist of making commercial buildings and leasing them out along with all facilities and this we were very aggressively doing and during this period , we today have made almost 5 million square feet which is ready, and leasing was going on. But 2010- 2011, the company realized that the leasing is now slowing down and this is the good time for the company to come back into residential like the company used to do previously.

So, the company zeroed in on basically two areas where the company wanted to develop residential . The first area was in Gurgaon and the second was in Neemrana. The Neemrana was a low-cost housing project which has already been completed and handed over and this low-cost project has become a very good cash earner for the company and the company is now trying to repeat this formula in other parts of the country also whereas we go and apply land from the government and then we do low cost housing in that so that is one segment. We will elaborate that later as we go on, but the main focus of the company was in

Gurgaon where company developed full-fledged township and now as we speak, company today has about 200 acres of land bank in this sector whereas we have another 50 acres which we have tied up which is now eventually going to be in the company as well. So out of the 200 acres which we already have, we have already developed and sold 60 acres and in these 60 acres, this consists of villas, plots, and fully furnished villas. This we have already delivered. About 43 acres, we have done a joint venture with Birla where the

Anant Raj Limited
April 27, 2023

Page 4 of 15 project is called Birla Navya, this is the joint venture between Anant Raj Limited and Birla

Estates which is owned by Century Textiles. The first two phases of this project have been successfully launched and the third phase is being launched now. The project this one is also doing well.

The balance area which is about 97 acres which was left is now fully being developed by us and this consists of prime projects which we launched last year on the birthday of our Founder Chairman, Mr. Ashok Sarin, this is Ashok Estates which we have already launched, and half of this asset has already been sold, so that is how we are taking things forward. In 2015, the company started with the demerger process, which was completed, and all orders obtained from the honorable NCLT in August 2020. Once the demerger was done then the company came back into focus of developing further land bank, obtaining further licenses and in the last two years, the company has obtained licenses of almost 40 acres which is amongst the highest in our sector and launched new projects. Ashok Estates is one of them, the third phase of Anant Raj Estates, the other one and that is how will be launching projects after projects in this ongoing thing.

So, if we talk about the financial year which we closed on March 31, 2023. The company for the first time crossed a turnover of Rs.1004 Crores which is for the first time, the profit also looks very encouraging. From Rs. 54 Crores, we had a jump to Rs.151 Crores, so going forward, our prime focus and the main cash-earner is the sector -63A which is Gurgaon and the sector which we focused on and this 97 acres is today eligible for almost about 4.5 million square feet of area which we plan to develop in the next five years and completely monetize and major part of this monetization will happen in the coming two years, so that is how we are taking things forward vis-à-vis this.

Other than this, the company's next focus for the past two years has been data centers. The company has three assets in which company has already started its first data center. The first asset which we have is Manesar which is the eligible for 50 megawatts, the second one is in Rai which is eligible for 200 megawatts and the third one is in Panchkula which is

eligible for 50 megawatts, so together it is about 300 megawatts we eligible for, we already have land and the building ready for it. The first phase is three megawatts that the company has already started and in Manesar, we plan to completely do about 50 and which we plan to do in the coming two years that is vis-à-vis the data centers.

Data centers is a brand-new business in the country, which just come up because the Government of India primarily thinks that the Indian data should not be allowed to store

Anant Raj Limited
April 27, 2023

Page 5 of 15 outside the country which in fact all the countries follow the rule, they do not allow their data to be kept in other countries and our country is also thinking on the same lines. So, this gave birth to data centers and at Anant Raj, we were sitting on ready land, ready buildings that have already been certified by various bodies that they are eligible for data centers, so that gives us a huge edge, building is ready, the permission are already there and now three megawatt is up and running and the balance will be executed. So that is how we are taking things forward. Now, I will open the floor to everyone if they have any questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Amanjit Singh from Excalibur Advizors. Please go-ahead sir.

Amanjit Singh: Sir, congratulations on a great set of numbers. It is really heartening to see your debt reduction journey and the path you are on. Really happy to see on the refinance bit also from Apollo and good initiative on restarting the investor calls and I hope this will continue.

Amit Sarin: This will continue, this will

I be a regular feature.

Amanjit Singh: I have few questions given this is the first call I will just start. We have been reading a cross in the past year that the NCR region, the property price increase has been relatively disproportionate compared to the rest of the country. So, what has been the key factor according to you driving up the prices and you think that the demand will be there and what is your view on the space in NCR?

Amit Sarin : Amanjit, you are very right. The rest of the country is also doing well, but the NCR region particularly is doing especially well and, in the NCR, also Gurgaon is doing extra ordinarily well. The main reason for that I guess is that because the infrastructure in Gurgaon has really, really improved. I do not know which part of the world you were in right now, but if you see the NCR and you see especially Gurgaon, Gurgaon is one area where government is really focused in the past few years on the infrastructure and this is helping people like us number one and especially after COVID, we see a lot of end-user demand coming in. Today almost 70% of our sales has been done to end users, which we see as a good strength for us going forward. Because end-user demand is a very sustainable demand and one can rely on it and have future growth accordingly. So, we feel that Gurgaon is there to stay for the time being and of course Gurgaon had gone through a big recession for almost seven to nine years, and this only started changing in 2021 and it has changed for the good. If you put a number to about how things have changed, prices have gone up by almost 60% and this is

Anant Raj Limited
April 27, 2023

Page 6 of 15 something which we are experiencing on -ground and we feel that this is sustainable, because this is backed by end user demand.

Amanjit Singh: Got it Sir. With regard s to Ashok Estate s right, I belie ve the revenue potential you mentioned is abo ut Rs.100 0 Crores and half is booked. So, when the half is booked what about the cash flow, Rs.500 Crores you already received or you should be receiving soon?

Amit Sarin : We sold half of it and we received almost Rs.250 Crores for it and the balance is going to come in very fast, because in Ashok Estates , we are primarily selling plots and while selling plots this is not much gestation period because licenses all are there, all the road s, infrastructure has already been laid , so we expect the balance to also come in very fast. We have received half sale and we have collected half the money for half the sale.

Amanjit Singh: What kind of demand you have seen, so do you think that you can at least sell Rs.1000 Crores by the end of the financial year?

Amit Sari n: Definitely. We see good demand in fact, we are holding on the demand, because the prices are going up. In the past four months also, we have seen an increase in the prices, so that is the reason while we have slowdown the sale and watching as to how thi ngs go. We have seen almost a 20% increase since we launched and the launch is not long back , the launch was on July 21, 2022.

Amanjit Singh: These are primarily plots right, so the capex involved should not be very high for this Rs.1000 Crores?

Amit Sarin : Not at all. The capex involved in this kind of a thing per acre you said about Rs.1 Crores that is it .

Amanjit Singh: And this 28 you said right?

Amit Sarin : Yes.

Amanjit Singh: On the group housing, could you just provide some color on what type of proj ect that you are envisaging , will you be developing it yourself or some partner or it is going to be mixed use, so what kind of project and what are the timeline that you are expecting?

Amit Sarin : In this sector, we already have one partner like we have t old you Birla Estates, but this group housing project, the company is going to do on its own. We have already tied up with

Anant Raj Limited
April 27, 2023

Page 7 of 15 one of th

e best architects a Chennai International Firm and we are going to be doing it ourselves. The launch d ate is going to be in the next six months . I do not want to put a number to it right away, but in the next six months, we will be launching it and we are going to be doing it ourselves.

Amanjit Singh: Understood. On the refinancing debt, I believe that there was enabling resolu tion for Rs.500 Crores then there was notification in the exchange Rs.250 Crores with the first tranche and Apollo was Rs.200 Crores, so who was the balance Rs.50 Crores on the first tranche Sir?

Amit Sarin : It is just Rs.200 Crores. We got a sanction from Apollo for Rs.550 Crores, we have utilized only Rs.200 Crores right now and this Rs.200 Crores also we have reduced the existing debt, so the debt has not gone up. This is something which we are very concerned of that, we will not let the debt go up, but all the same time we also wanted to start a relationship with Apollo and as you know this is the Apollo U.S., one is discussing various options, so this relationship has started. The balance sanction is there, but the company has not avail ed of it as of now and we do not even need the money right now.

Amanjit Singh: The sanction is available to you for use like for draw down or rather any other conditions precedent that you need to meet before you can draw that down?

Amit Sarin : We are adding land to sector -63A, we are executing data centers, but as of now we are good with our internal accruals, but this is a backup plan if we need money.

Amanjit Singh: Got it and what is the kind of the pricing differential between the debt that you have refinanced, because the NSDL site mentions that these bonds are somewhere around 14%, but your old bonds are 20%. I am not sure of this, is this the right number? Is there like this kind of saving or could you just get some color on that?

Amit Sarin : You are almost right. Old one was at about 20% this is 14%, so this is further bringing down the cost of debt to the company .

Amanjit Singh: What is the current weighted average, cost of debt that you have in your books?

Amit Sarin : About 13.7%.

Amanjit Singh: Okay, so this refinancing is kind of in line with that as well?

Amit Sarin : Definitely, yes.

Anant Raj Limited

April 27, 2023

Page 8 of 15 Amanjit Singh: Any moratorium that you have got on these bonds, you must start the repayment immediately?

Amit Sarin : We have got 15 months moratorium.

Amanjit Singh: Okay. In that period, you have no interest payments or just principal payments?

Amit Sarin : We pay the interest, but the principal starts after 15 months. We have good cash flows , but at the same time we want to go on investing in data centers and unlocking the value to whatever extent we can, so we are now using this cash flows for data centers.

Amanjit Singh: So the Apollo draw down if you use it, you will be using it for data center going ahead?

Amit Sarin : Sorry, can you repeat that please?

Amanjit Singh: So the Apollo facility that you have , you will be drawing that down for the data center business?

Amit Sarin : We may not, because the kind of cash flows we are today sitting on, we may not have to, but that is the backup.

Amanjit Singh: Understood. Just coming to my final bit on data centers, you are almost ready you said with three megawatts right. So, how do you plan to fund the balance the megawatts and how confident that they can come up in September?

Amit Sarin : Definitely, we are all set. This thing we have done on our own and we know exactly what comes in from where . The orders for the balance have already been placed, the strengthening of the building is already complete, so this three is definitely on track for September and once this three is on track, the income from data center is going to kick in from this month itself . So we have the option of discounting this at much lower rates of interest

and moving on further plus the encashing of the Gurgaon project is already happening, so we have two sources of liquidity and between these two, we feel that we will be able to fund this on our own.

Amanjit Singh: Got it. So using the six megawatts you said by September and you gave 50 megawatts target for two years, so what about if I say the 21 megawatts which is kind of first approval that you have got in place, by when do you expect 21 megawatts to kick in fully?

Anant Raj Limited

April 27, 2023

Page 9 of 15 Amit Sarin : One year.

Amanjit Singh: Great Sir. I will get back in the line. Thank you so much and all the very best.

Moderator : Thank you. The next question is from the line of Hitendra Gupta from Systematix . Please go ahead Sir.

Hitendra Gupta : Good afternoon Amit and Pankaj. Continuing with previous analyst, I just wanted to understand the timelines for the data center capacity, we already are sitting on three megawatts and by September it would be six, so can you please help me with the first?

Amit Sarin : One year will be 21, the income kicking in from 21, the whole idea is to do this without taking on debt , we are very clear that we do not want to do this by taking debt. We are able to get the cash flow from our residential sales further, so one year we will do 21 and there should be very robust demand for this 21, income will start to come in from this 21 and then we start unlocking the rest.

Hitendra Gupta : Okay and can you please help me with the kind of clientele we have or are we having any tie up with the tenants, what is the scenario in terms of tying up with the clients?

Amit Sarin : Today, we have two tie ups. While on the call we said that the Indian government in a law that Indian data should not be going outside India, I am sure you must have also read about it. So this is given a huge demand to data centers within India. We also have two tie ups, one with RailTel and one with TCIS , both are Government of India undertaking to help us get clients. So clientele as of now data center is not an issue at all. It is just that how much capacity one is able to create.

Hitendra Gupta : What kind of rentals we can expect from here per month basis , is it per square feet basis, how it goes?

Amit Sarin : The rental here goes per megawatt, and it is anything in between 85 to 90 lakhs per month

per megawatt. The expense which you incur is about 25% of that. The balance is free cash flow.

Hitendra Gupta : So this 25% would be on a monthly basis also for us and you are doing it in existing commercial assets, so what kind of capex is required to upgrade it to make it a data center compliant?

Anant Raj Limited
April 27, 2023

Page 10 of 15 Amit Sarin : This is the best edge we have. Today, we convert one megawatt in our building, you need an investment of about Rs.25 Crores per megawatt, and because the land and building for the company has already invested. We are saving time because land and building is already there. We are saving money and we are able to do it much faster, so this is the biggest advantage we have and that is how we are taking it forward.

Hitendra Gupta : Okay and with regard to your real estate business, I just wanted to understand your township Anant Raj Estate, can you just give me some breakup in terms of expected inflows from the group housing and the other businesses like Deen Dayal, Awas Yojana and Birla Navya.

Amit Sarin : Birla Navya probably I will do the introduction, Birla Navya has already successfully launched two phases and done and the third one is now getting launched vis-à-vis Ashok Estates we had sold 50% of an inventory and we have launched to now. We have seen in pipeline increased, it is almost 20%. At Anant Raj Estate is also experiencing the same price increase and in Anant Raj Estate, we have also launched a new project in which we are doing fully furnished vil

las and we see a very decent demand in all the three segments.

Ashok Estates, we only sell plots, Birla Estate is selling floors and in Anant Raj Estates, we are doing villas and floors both and we are doing fully furnished villas and floors both, so we are seeing a good segment of demand and as you likely said 70% of today demand is end-user demand. It is also helping us sell faster.

Hitendra Gupta : Okay, so can you just quantify few of the numbers for the next two years from overall real estate business, it would be helpful?

Amit Sarin : We cannot talk about future numbers like this, but today at Anant Raj Estate, we are sitting on an inventory of close to Rs.1700 Crores and this is something which we want to monetize very fast and we have almost all the permissions required for it.

Hitendra Gupta : Thanks a lot. I will join back.

Moderator : Thank you Sir. The next question is from the line of Avinash Gorakshekhar from Profit Mart. Please go ahead Sir.

Avinash Gorakshekhar : First of all congratulations for a very good set of numbers in fact ever since we visited Delhi when we met you personally I think numbers have got better and better every quarter, so this is very interesting and very, very positive from the investor community and I wish you all the best for the coming year also. Just had one question on the real estate side, if you
Anant Raj Limited
April 27, 2023

Page 11 of 15 could give us some color on what is the kind of price trends which are prevailing currently in the NCR market. We do not get this data point easily, but if you could share some broad idea as to how do you see the demand, how do you see inventory is moving up and overall on ground, what is the kind of sense you get, will real estate continue to generate steady cash flow even in FY2024 considering the kind of strong performance you have done in FY2023?

Amit Sarin : Avinash Ji definitely. Like we just discussed the rest of India is doing well and the NCR is exceptionally doing well and within the NCR also Gurgaon is doing exceptionally well because of the infrastructure and all other things happening good in Gurgaon and a lot of end user demand coming into Gurgaon itself. As you know Gurgaon is right next to the airport, right next to Delhi in fact Gurgaon today is not dependent on Delhi as such. Gurgaon in itself is a full-fledged city and with 70% end user demand, these prices are here to stay and we have seen almost 60% increase. If you see in the last four years, we have seen a 60% increase in the prices which have gone up. Today, we are selling a floor from almost Rs.16000 to Rs.18000 square feet, this is phenomenal. In fact when we started with Birla, we were aiming, first launch was about Rs.10500, so these prices are here to say surrender is enough, supply also coming in, in spite of that the demand is there and it is sustainable. Like while we were doing on the introduction call one thing which we miss out. There have been three landmarks for companies like us. One, in 2000 when banking recognized us, then in 2003 when land ceiling was abolished and the third one was RERA came in 2016. So RERA has removed a lot of unhealthy competition from the market and it is healthy people like us.

Avinash Gorakshekhar : Amit Ji, just one more question on the data center side, please correct me if I am wrong. I remember you have been told us that the investment per megawatt for data center is roughly

about Rs.1 Crores, so is it right?

Amit Sarin : Per megawatt mean Rs.25 Crores.

Avinash Gorakshkar : Basically I just want to understand that this 21 megawatt what we are planning in the next 12 months, have we already done our cash flow planning for the investment because this will be significant investment in data centers which obviously will give you very good margin, so will you be looking at some sort of funding either by equity or debt or you think the cash flows

from the real estate business would be enough to fund this?

Anant Raj Limited

April 27, 2023

Page 12 of 15 Amit Sarin : 21 we have completely sorted, 21 roughly is an investment of 400, 450 out of which we have already invested 140 and right now it is higher because the centering in all has been done for the complete towers, so that is little higher, but the average for this 21 will be within Rs.25 Crores per megawatt and this income will start to kick in. So we have basically two options. The first option is we have enough money coming in from Ashok Estates and Anant Raj Estates and that is getting diverted here and we are executing this in fact that is how we reached so far as of now, but the income from the data center will also start coming in, we can always discount this. So 21, we are completely sorted, yes, but when we go beyond 21, these are options which we want to aggressively look at and let us see tomorrow how we go about it because this is as of now owned by 100% own subsidiary

which is called Anant Raj Clouds. Let us see tomorrow if you are able to get a partner into Anant Raj Clouds and unlock the complete value, it is going to be great, great thing for the company.

Avinash Gorakshkar : Just one more thing which I wanted to just tell you obviously you must have also heard.

Kotak has come out with the data center fund, they are looking at possibly investments from their perspective, so would you be open for this kind of investment also provided you get the right valuation Amit Ji?

Amit Sarin : We will have a look at it. Thanks for telling us, although maybe our team is already working on it, but thanks you brought it up.

Avinash Gorakshkar : Thank you for the information and all the best to you and your team.

Moderator : Thank you Sir. The next question is from the Parvez Qazi from Nuvama Group. Please go ahead Sir.

Parvez Qazi : Good afternoon and thanks for taking my question. Congratulations for a good set of numbers. My question is apart from Ashok Estate, what are the future projects that we may look to or launch going ahead over the next one to two years?

Amit Sarin : Ashok Estate is one then we are likely as discussed, in the next six months we will see one more big launch coming in by way of group housing. The name is yet to be finalized, so that we will start marketing on that very soon that is about one million square feet. This has already approved, all permission obtained and we are all set to, we are in fact on the drawing board right now, we will be finalizing these drawings very soon and going forward with it. This is going to be multistory housing, one million square feet to sell. Other than this we have another one million in the pipeline in which the permissions are already

Anant Raj Limited

April 27, 2023

Page 13 of 15 getting processes for that and other than we are sitting on almost 97 acres in Anant Raj Estates which is going to be launched in phases. So there we have the option and the flexibility of doing plots, doing floors, doing villas and doing fully furnished house.

Parvez Qazi : And the earlier two projects, both of them will be in Gurgaon? One million square feet each?

Amit Sarin : Yes, both are in Gurgaon, in fact they are in the same sector and that sector is doing pretty well right now, it is called sector -63A in Gurgaon.

Parvez Qazi : Okay, great. Thanks and all the best.

Moderator : Thank you Sir. The next question is from the line of Harsh Pathak from B&K Securities. Please go ahead Sir.

Harsh Pathak : Thanks for the opportunity. Sir, I wanted one clarification with respect to your partnership project with Birla Estates, you mentioned the third phase is going to be launched now, but as far as we understand two phases have already launched and one more phase was launched in March?

Amit Sarin : Third is launched. Fourth is yet to be launched, just now launched in March.

Harsh Pathak :

thak: Okay and how is the response there at the third phase?

Amit Sarin : 60% sold.

Harsh Pathak : That's great to know. Would you be exploring more partnership with Birla Estates or any other developers you are willing to explore partnerships?

Amit Sarin : We are a decent brand now , so we feel that we can do ourselves also. When we get Birla just was done in 2019 that was the difference that prior to the demerger and other things, but now we guess Anant Raj brand also has fantastic value and we can do things ourselves also and we have proven it . We have given delivery. Today people are living in our sector and we are one of the best , customer wise, we have one of the best customers in the industry now.
Harsh Pat hak: All the best for the future. Thank you.
Anant Raj Limited
April 27, 2023

Page 14 of 15 Moderator : Thank you Sir. The next question is from the line of Naitik Mody from OHM Portfolio . Please go ahead.

Naitik Mody : Thanks for the opportunity. You are targeting 21 megawatts in the data center business by this financial year end, so what about the six megawatts for which you already have customer tie ups, for the balance 15 megawatts, what is the situation now? Where are we at?

Amit Sarin : Pretty sorted . As of now in fact we are refusing demand, right now it is going on in the direction where we have to commit to when the dates as to when we will be able to deliver the megawatts, so right now we do not see any challenges vis -à-vis the demand and I guess this is going to stay for the next three to four years, because capacities are yet to build up and kind of edge we are sitting on our buildings are ready, our permissions are all there, all we need to do is get the racks and other infrastructures in place which takes about Rs.25 Crores for a megawatt. So we are going pretty slow and calibrated in this, we are not letting the debt go up. You know if we today allow the debt go up we can do this much faster and much bigger, but we want to be conservative in this approach, debt is something which we are very averse to .

Naitik Mody : What would be the profile of these customers apart from the PSUs that you already have on both?

Amit Sarin : We cannot disclose the profile right now Sir.

Naitik Mody : Would there again be the same PSUs or would there be the same?

Amit Sarin : Some of them are PSUs, because PSU is also a very big large market and plus of course the big hyperscale is already there, so it is going to be a combination of all.

Naitik Mody : Thank you Sir.

Moderator : Thank you Sir. The next question is from the line of Ritu Kumar from Growth Capital . Please go ahead.

Ritu Kumar : Thank you for taking my question. Just wanted to ask what is the income that we are generating from the existing commercial assets and how much of the total constructed areas actually leased out?

Anant Raj Limited

April 27, 2023

Page 15 of 15 Amit Sarin : Right now we have about 5 million square feet which we have already constructed. Now a lot of business is going to be diverted toward data center. The income which we are already generating is about Rs.50 Crores a year and as of now say about one million out of this five, one million is leased out.

Ritu Kumar : Okay, got it. Also if you could provide how much income is coming from the two hotel projects, any update is there on the business?

Amit Sarin : As you know, the company leased them out and they are running these hotels. We get minimum income of how much, we will just have to check that, because particular revenue on that thing, it is Rs.14 Crores.

Ritu Kumar : Also if you could let me know the plan for the data center ramp up and what is the capacity that we are planning to eventually take up?

Amit Sarin : Like we discussed today between these three buildings we can go up to a total capacity of 300, which is pretty huge in the country that is one. As of now we have three which

is up and running, three will go to six by September and balance to achieve 21 is another 15 which we will do by the end of this financial year and by that time, the income will start to kick in and that is when will start unlocking going forward on this . Manesar alone where we are doing all these works is eligible to go up to 50. So let us reach there first, but the kind of demand we are seeing and we are also in talks with some good companies outside India . We might even start embarking on them very soon.

Ritu Kumar : Got it. Thank you Sir. That is all from my end.

Moderator : Thank you Ritu. This was the last question. I would now like to hand the conference over to the management for closing comments.

Amit Sarin : Thank you everyone. We believe that we are able to answer all the questions and we will keep this a regular feature. Thank you for all your time and thank you for joining us. Thank you. All the best.

Moderator : On behalf of Go India Advisors that concludes this conference. Thank you for joining us

and you may now disconnect your lines.

Call: Oct 2023

Anant Raj Limited
CIN: L45400HR1985PLC021622
Head Off: H-65, Connaught Circus, New Delhi-110 001
Tel : 011-43034400 , 23324127 , 23323880, 43582879
E-mail : info@anantrajlimited.com Website : www.anantrajlimited.com
Regd. Office : CP-1, Sector-8, IMT Manesar, Haryana-122051
Tel: (0124) 4265817 Anant Raj Limited
ARL/CS/13314 October 31, 2023
The Secretary, The Manager
The National Stock Exchange of India Listing Department
Limited, The SSE Limited,
"Exchange Plaza", 5th Floor, Phiroze Jee Shoy Towers,
Plot No. C/1, G-Slock, Sandra -Kurla Dalal Street, Mumbai -400001
Complex, Sandra (E), Mumbai-400051
Scrip code: ANANTRAJ Scrip code: 515055
Sub: Transcript of Earnings Call for the quarter and half year ended September 30. 2023
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations. 2015
Dear Sir,
In continuation to our intimation dated October 18, 2023, please find enclosed a transcript of the Earnings Call held on October 23, 2023 for the quarter and half year ended September 30, 2023.
The transcript is also available on the Company's website at www.anantrajlimited.com.
Kindly take the above intimation on your records.
Thanking you.
For Anant Raj Limited
Manoj Pahwa
Company Secretary
A7812
Encl: as above

Page 1 of 19

"Anant Raj Limited Q 2 FY '24 Earnings Conference Call"

October 23, 2023

MANAGEMENT : MR. AMIT SARIN - MANAGING DIRECTOR - ANANT
RAJ LIMITED
MR. PANKAJ GUPTA - CHIEF FINANCIAL OFFICER -
ANANT RAJ LIMITED

MODERATOR : MS. DEVYANSHI DAVE – GO INDIA ADVISORS

Anant Raj Limited
October 23, 2023

Page 2 of 19

Moderator : Ladies and gentlemen , good day, and welcome to Anant Raj Limited Q2 FY '24 Earnings Conference Call hosted by Go India Advisors .

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing ' * ' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Devyanshi Dave from Go India Advisors. Thank you, and over to you, Mr. Dave.

Devyanshi Dave: Good afternoon, everyone . Welcome to Anant Raj Limited Q 2-FY24 Earnings Conference Call . We have with us on the call today, Mr. Amit Sarin – Managing Director and Mr. Pankaj Gupta – Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be , therefore, viewed in conjunction with the risks that the Company may face.

I now request Mr. Pankaj Gupta to take us through the Company 's financial highlights . Thank you, and over to you, Mr. Gupta.

Pankaj Gupta: Thank you, Devyanshi, and good evening , everyone and thanks for joining us the Earning Call today . I am pleased to say that we have delivered a strong financial performance in this quarter .

Mr. Amit Sarin will discuss the strategic update . We are giving you the financials update .

During H1, FY '24, our revenue from operations was almost 1.5 x to 667 crores . Our PAT has almost doubled to 107 crores on account of a strong operating performance and debt reduction . During Q2, FY '24, our revenue from operations was up by 28% year -to-year to Rs. 341 crores . EBITDA to the quarter stood to 88 crores with EBITDA margin at 26%. PAT for the quarter grew 80% year-to-year and stood at Rs. 59 crores .

On the operating side, we have officially received the RERA approval for Tirupati Affordable Housing Project , which will be launched in Q 3 FY '24. We have also received RERA approval for Anant Raj Center in South Delhi comprising hotel , service apartment and commercials . The construction for the same has already been commenced in full swing.

Lastly , on residential project update , Ashok Estate has successfully sold 80% of its inventory. Total monetization from the project is expected more than Rs. 1,000 crores . The Company is gearing up to introduce a luxury residential project with a sellable area of 1.1 million square feet

Anant Raj Limited

October 23, 2023

Page 3 of 19

during Quarter 3 FY '24. Anant Raj Estate residential township is being extended by additional 7,20,000 square feet contributing to an increase in inventory of Rs. 1,000 crores .

The Company is also in the process to obtain a license for new luxury group housing project .

This project is in addition to one set of launch of group housing Q3 FY '24. This is to be constructed on the land Company has already acquired and offers roughly 1.1 million square feet of salable area.

In conclusion , Anant Raj Limited is committed to delivering strong results and continuing growth . Now we are handing over the call to Mr . Amit Sarin Sir to give the strategy update .

Amit Sarin: Thank you, Pankaj. Good evening to everyone , and thanks everyone for joining us on this call taking out your time. It really means a lot .

As Pankaj ji just briefed us, the main contributor for this quarter , again , like the previous quarters has been the star project of the Company so far which is 63A, which started with Anant Raj Estate and then it had Navya Birla come in and then the latest addition to this was Ashok Estate. The main contributor for the first two quarters as we are doing , this is a half yearly call , so the main contributor for the first

first two quarter has primarily been Ashok Estate, which was launched

last year on our Founder Chairman's birthday on the 21st of July '22 and so far, the Company sold about 80% of this . 20% is yet to go and the Company is seeing a good robust demand.

From where we launched this project to now , there has been an increase of almost 30 to 35% in the selling price as we had previously pointed out in our earlier call . In this right now , what we are doing , the Company is doing , is mainly selling plots only . Anant Raj Estate, the Company is doing plots . The Company is doing villas . The Company is doing floors as well . But right now , the Company is as of now selling plots only .

In Sector 63A, the Company is still sitting on an inventory for which the land is already owned by the Company is approximately about 10,000 crores of further top line which is going to be monetized from 63A alone . The first two phases have already been delivered and now there are people living in the Anant Raj Estate already .

Birla Navya is also fully on track and as planned, Birla Navya's possession will be starting from FY '23-'24 which is fully on track for its possession also .

The latest addition in Sector 63A is going to be a group housing project which is about 1 million square feet which is going to be launched in this quarter . The Company has already obtained its basic licenses , but the other formalities like RERA and sanction of plans is going on which is about a fortnight away , and we are definitely going to be launching it within this quarter three .

Page 4 of 19

Other than this, the Company has launched two more projects in the Quarter 3 which have already been launched. I am sure that most of you have been in touch with the updates the Company has been giving.

So, the first one is a hospitality cum service apartment and a commercial complex, all in the same land, for which all the approvals including the RERA approval has already been obtained and the Company is all set to launch it. We have all the formalities done.

The other one is the Affordable Housing Project. This is the first project of the Company which is outside our core area which is in Tirupati, but fortunately, the land was being given to us by the government, by the Tirupati Development Authority, and again for this, all the approvals including RERA have already been obtained. This is a development of about 1.2 million square feet of affordable housing. So, this again will be launched in Q3.

Q3 is going to be a quarter which is going to be full of lot of action for the Company because prior to this, the main focus was always 63 A, but now in Q3, we will have two more projects contributing to the growth of the Company. You know, other than Ashok Estate or Anant Raj Estate, we will have the South Delhi commercial project, then service apartments, hospitality, and the Tirupati project.

Other than this, the main focus of the Company in the past two years has been mainly the data center thing, and we are very pleased to announce that the revenue from data center has already started to come in. The first 3-Megawatt has started yielding results in its phases. The second 3-Megawatt is on the way, and it's going to be completed very soon. The Company is fully on track for completing its 21 Megawatt what the Company had planned is fully on track. The funding for that has also been obtained. So, we are fully on track. In fact, most of it is going to be funded from internal accruals only.

Other than this, the Company is yet to monetize or even start work on the 100 acres of land in the NCR, mainly in Delhi, which the Company is already there, but this is something which is just sitting in our balance sheet fully paid, all done, but may be

two years from now, we will start monetizing of this land.

So, this is the basic synopsis of how we are taking things forward. I hope it's quite clear. Now we can open the floor for questions, if any. Thanks.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Bhalchandra Vasant Shinde from Kotak Life. Please go ahead.

Bhalchandra Shinde: Sir, regarding these data center additions, we have been slightly lagging the targets, like we were supposed to add a 3-Megawatt by September quarter end, and so why we are getting delayed on

Anant Raj Limited
October 23, 2023

Page 5 of 19

that? And we have a target of around achieving 300 Megawatt also. So, there also we see a slight delay on those additions and even on the 21 Megawatt, we were supposed to add up to March end. So, that also will see some delay?

Amit Sarin: Mr. Shinde, thanks for your question, and thanks for all these questions. See, I will tell you the basic delay, of course, there is a delay which we agree, but this basic delay is because the lead time of the equipment which we are procuring has actually gone up and that has gone up by almost three to four weeks. So, that is the only cause of delay. Otherwise, we are fully on track.

The 3-Megawatt is up and running. There is no problem with that.

The other 3-Megawatt, the lead time has actually gone up. So, that is the only reason for the delay. Otherwise, we are fully on track. And in fact, we are now looking at other suppliers. In fact, as data centers, not many things are available within the country. A lot of things are still imported into the country. Of course, the country is also gearing up its infrastructure for our people like us who need to buy these equipment's and all. So, the delay is only because of that. Otherwise, we are fully on track.

Bhalchandra Shinde: And our long-term target for addition of 300 Megawatt, for that customer additions wise, are we looking anywhere to add more customers, like apart from this TCIL I think, Yes, TCIL and one more customer you were supposed to?

Amit Sarin: Yes. You are absolutely right. Of course, see, today, fortunately after as we are speaking, last call when we did, at that time this Law of Data Protection Bill was under consideration. Now, fortunately, the Data Protection Bill has been passed by The Honorable Parliament and now the Act is already in force. So, demand-wise, there is no problem at all.

As of now, whatever supply we are able to create, it's already booked, and that is what is causing a delay in terms of getting the equipment because the equipment is today very scarce. But now we have, in fact, tapped three more sources for our equipment's, and in the next say one or one -

and-a-half month that those tie ups will be complete . We are fully on track and committed to the 300 Megawatt .

And as you know that we are one fortunate Company in this case which is sitting on ready land , ready buildings , and the se buildings are already certified to be data centers . So, this edge of three to four years which the Company has, the Company is fully geared up to encash on this edge because whatever supply of data centers would come in people who are now procuring land will make their buildings , will get equipment and all, so they are at least three to four years away from us , and we feel that we are fully geared up to reach our target of 300 within these three to four years .

Anant Raj Limited
October 23, 2023

Page 6 of 19

Bhalchandra Shinde: But how much funding requirement will be required to implement 300 Megawatt according to you?

Amit Sarin: Mr. Shinde, the funding requirement in our case which , of course , is one of the lowest in the industry . We are completing a Megawatt

in about 25 crores to 26 crores per Megawatt is the additional cost for us . Our land and building is already invested . So, when we talk about 300, we are talking about an investment of 7,500 crores, sir. Of course , we don't have that kind of money , and as you know, at Anant Raj, we are very clear that we are not going to be taking on debt.

But rent, this receivable securitization or you may call it rent securitization also is one aspect which we are seriously looking at , and these are, as you know, as of now the clients we have are all blue-chip clients and banks are very comfortable discounting these rentals . So, the Company has already set the ball rolling , and that is how we plan to fund this as of now .

Bhalchandra Shinde: And sir, regarding this recent announcement for affordable housing , relatively , what is our experience is that most of the companies operating in affordable housing have been showing a negative cash flow . What kind of IRR you are expecting to generate and what is the potential total cash flows you expect to generate in t his and which you are also confident in?

Amit Sarin: So, Mr. Shinde, this is not a very big project we are doing this is about 2,000 houses . And as you know, we are one of the few companies in India and especially in North India who successfully completed low-cost housing in Neemrana, Rajasthan . That was a very successful project for the Company . In fact it completely came out . The Company actually never had to invest any money in it. All we did was pay for the land to the Rajasthan government authorities . We got the land . We made the houses, and everything was pre-sold , and it was a self -funded project .

Again , in this case, the land has come to us from the Government of Andra Pradesh, and it is right next to the Tirupati Airport . As you know, Tirupati has basically two good points about itself . A, Tirupati is an industrial town . B, Tirupati is also a pilgrimage town where people go to Lord Balaji . So, these two aspects create a lot of demand in this area, and this land came to us from the government itself .

In fact, the government saw the project which we had done in Neemrana. Representatives of the government came, t hey saw, and they invited , virtually invited us to come and do the same thing there. So, these projects are not very big . The total top line from this project is going to be about 340 crores .

So, it's not a very big project for the Company , but as you know, it is a pilgrimage town , and the Company and the Founder Chairman were a very big disciple of Lord Balaji, and we thought that the government has invited us . So, it was a very prestigious thing and plus the Company is

Anant Raj Limited

October 23, 2023

Page 7 of 19

going to make decent money out of it. Also, to answer your questions, the margin would be at least 30%.

Moderator: Thank you. The next question is from the line of Mr . Rashith Shah from Nuvama Wealth Management . Please go ahead , sir.

Rashith Shah: So, actually a couple of questions . First, regarding the Anant Raj Center , we are seeing we have a developable area of 7 lakh square feet, which would be a mixed use. So, if you can just give us a split about what would go into office and what would go into service apartments and hospitality ?

Amit Sarin: So, 20% would go into the office . So, that will be about 1.2 lakh square fe et. That will go into an office . That is going to be a commercial block . In fact, that is the one we have initially started , and the other two will be 50% service apartment and 50% hotel . For the hotel, we already have the existing operator .

Fortunately , we have not closed on the hotel and we don't even plan to. So, this hotel will actually become bigger and the same person will be running it , but of course at a higher rental , and the

service apart

ment is going to be the third block , which we will be doing in the third phase . So, first phase commercial , then expanding the hotel , and then the service apartments . 20% commercial , 40% hotel , and 40% service apartment .

Rashith Shah: And if you can just kind of help us with the expected rental , so 1.2 lakh square feet of the office space that we are developing , so what kind of rentals we are expecting over there?

Amit Sarin: Sir, office space, I guess , we would sell . So, as of now, we are focusing , we already have the RERA approval , all the approvals like we just mentioned on the call . So, office place we would sell, and this office place we feel that would comfortably give a cash flow of 250 plus , 250 crores plus to the Company .

In fact, that is how this is going to be a self -funding project . So, 7 lakh square feet total construction is going to be under limit 180 to 200 crores . So, this 250 will fund the complete construction, and the rental income average one can take per square foot wise, the hotel these are, in fact , for the commercial which we are selling . So, we don't need to go per square feet wise, but anything between Rs. 90 to Rs. 100 is the rental in that area, sir.

Rashith Shah: And the hospitality part, so we already said we have an operator . So, that operator we were dealing with on a

Amit Sarin: Rashith, we have been dealing with this operator for almost he has been running this hotel for the past seven years very successfully . So, the same guy is going to expand, and the rentals will

Anant Raj Limited

October 23, 2023

Page 8 of 19

go up, sir. As of now , the final rental figure has not been decided but, it will be even if you go pro-rata wise, it will at least going to go 2.5x.

Rashith Shah: Wow ! That's great to know . So, the second part was on actually the data center . So, we said the 3-Megawatt is operational , and we have been kind of booking revenue from the same. So, if you can just let us know from when we have been booking and what kind of rentals as well as operating costs we are incurring over there?

Amit Sarin: The rental is still the same , sir, it's about 90 lakhs per megawatt per month , and the operational cost is close to about 15 lakhs per month per megawatt .

Rashith Shah: And third , last question from my side on the margins .

Amit Sarin: Given you just about two months back . So, the revenue is close to about 2, 2.5 months back . So, the revenue is about close to 2 crores , two point some crores , but the good part is that the revenue started to come in and it's going to grow from here , sir.

Rashith Shah: And lastly on the margin side , so we have been seeing an improving trajectory that would be mostly because one, we are recognizing revenue from the data centers as well as secondly , we are selling plots . So, basically higher margin segment . So, going forward with more of group housing coming in , how do you see the trajectory moving ?

Amit Sarin: Sir, we feel that the margins with the group housing coming in will go further go up , sir, because it's very simple , sir. The land is already paid for as you know, and the land is definitely more than 10 years , 8 to 10 years old . So, that's already done . The construction cost under limit for 1 million square feet will not be more than 500, sir. And the selling cost today is about 18,000 per square feet , and it's a 1 million square feet project , sir. So, we feel that the margins from here when the group housing comes , starts contributing , which is going to be from next year , is going to be further will further improve , sir.

Moderator: Thank you. The next question is from the line of Mr . Piyush Mehta from Caprize Investments . Please go ahead , sir.

Piyush Mehta: So, a few questions quickly in terms of so I was going to ask you about the revenue breakup of

the different segments . So, you mentioned that 2 crores came from the data center . So, is it fair to assume that a typical 3 -Megawatt data center will give us close to what? What would be the annual yield on 3 -Megawatt data center ?

What I was trying to ask is on a typical 3-Megawatt data center , what would be a typical annual realization ?

Anant Raj Limited

October 23, 2023

Page 9 of 19

Amit Sarin: Sir, like we just mentioned , 90 lakhs per megawatt per month , sir, and 15 is the cost which we incur . This is in terms of electricity , air conditioning and all these variable cost . So, 75 into 12 per Megawatt into 3, sir. So, once this megawatt runs for the full year , that is what we get, sir.

Piyush Mehta: And in terms of say we planning , so this 21 Megawatt which you said the funding is in place and largely internal . So, again the math will largely remain the same as we keep adding ?

Amit Sarin: Definitely , sir. Math will absolutely be the same . We are doing a three and three is

eligible for 90 lakhs per month. Of course , as of now it is costing us 15 lakhs , which we feel that we will be able to get down by another 15% in the long run. So, maybe four , five months from now, we are trying to work on economizing our costs and all. So, this 15 will maybe come down and the margins will increase, sir.

Piyush Mehta: And recently , there were two articles in the newspaper . One was that investments in data centers to rise close to \$10 billion over the next three years and other was government planning close to 25,000 GPU clusters , which would again be close to 8 to 10,000 crores of investments . Now , considering we are already associated with these government companies that we have as clients ; how do you think this in terms of going through 300 Megawatts in 3, 4 years , do you think that is optimistic or that is pretty realistic in your view ?

Amit Sarin: So, that is pretty realistic , sir. I will tell you , sir, today , let me give you an overall picture. So, today data centers are, as of now , the whole country is sitting on a capacity of 640 Megawatts , and this capacity unfortunately after the Honorable Parliament notifying the law of the Data Protection Bill, data cannot go outside the country . It has to be stored within the country , and as of now they have allowed non -financial to go out , which eventually will also have to be housed in the country . So, this demand, I am sure we have also Googled, and we have some experts also who have been guiding us . This demand in the next three to four years is expected to comfortably go beyond 3,500 Megawatts , sir.

Piyush Mehta: There is a report that I read that at present the industry capacity of DC stands at close to 1 Gigawatt and over the next five years , we should easily expect this to go towards 8 Gigawatts. So, that seems like a fair estimate ?

Amit Sarin: Definitely . And sir, whatever demand you have here is into two, because there has to be a disaster recovery also . So, demand is going and like we just mentioned on this call earlier , we are one fortunate Company which is sitting on ready land and building. So, we feel that with this we have that edge.

And of course , this edge gives us two plus points . One is the cost -plus point . We are able to do the same for other people, it might cost anything between 50 to 55 crores . We are doing the same thing in 25. That's number one .

Anant Raj Limited
October 23, 2023

Page 10 of 19

Number two, the biggest factor is the time element . We save so much on time because our buildings are ready . So, right now we are going into full swing , and we are executing this . Of course , the Company , as you know, is quite averse to debt , and the debt is only getting reduced . So, we don't want to take on debt to complete this , but our finances are pretty well wo

rked out ,

and as soon as we get the first 21 rolled out, then we are on our own, sir. Then the rent discounting , I mean , the income discounting is an automatic thing which will help to get to 300 very fast .

Piyush Mehta: So, in this segment , particularly , we are competing with the likes of LTT and other key guys . Who are the large three players here whom we are competing with ? And of course , as you said we are blessed with the land bank .

Amit Sarin: We have CtrlS . We have Sify . We have CtrlS . There is decent competition , but as of now everybody is good. Everybody is happy because there is so much demand coming in . So, everybody has their handful .

Piyush Mehta: So, no one is trying to undercut or more ?

Amit Sarin: No, no. So, as of now , there is no undercutting . It's a pretty healthy situation . Everybody is quite because whatever capacity is there is completely leased out . So, there is no undercutting as of now. This undercutting might start , sir, which we are not sure , but it might start after four, five years , but shifting a data center as it is not a very easy job . So, whoever gets in this first mover advantage is going to have this long-term advantage, sir.

Piyush Mehta: But in terms of IRR, won't our IRR or payback period will be far , far, far better than the likes of say Sify, CtrlS because we have the land?

Amit Sarin: Definitely, sir, definitely. Sir, god forbid, if there is undercutting in future , we are still much better off . We have that capacity also to undercut , but we don't for the next three, four years , we don't see that happening , sir.

Piyush Mehta: When you say the revenue would be 90 lakhs per megawatt per month, is it what competition is charging similar pricing ?

Amit Sarin: Yes, sir, competition also more or less the same, sir. More or less the same .

Piyush Mehta: But they do not have the benefit of the land which will, of course , they will lease out and, you know .

Amit Sarin: No.

Anant Raj Limited
October 23, 2023

Page 11 of 19

Piyush Mehta: And in terms of over a two-year period, in terms of the revenue contributions from different segments say FY '26, how do you see the Company shape and whether it is the Ashok Estate or Anant Raj Center, so how could the Company look like? Because the group housing project is being launched this year, the revenue contribution starts next year.

Amit Sarin: We can't talk about future numbers like this, but I can tell you, we can assure you one thing, sir. If you see, if you go 2.5 years back, the revenue of the Company in 2021 was 250. Then the Company doubled it in '21-'22, and then doubled it further in '22-'23. Last year we closed at 104, and this year in the first two quarters, we have already comfortably crossed 650. It's 666 to be exact. So, Company this is a very valid question, sir, especially for a real estate Company. Sir, in real estate this is one very important thing one has to keep your top lines very well planned. So, when we were doing a synopsis of our quarters, as we pointed out that today with 63 alone, 63A alone, our main sector, we are today sitting on an inventory of close to 10,000. For the next four five years, we are pretty well-planned, sir, and with our cash flows, we are now focusing on replacing our land bank. Of course, in 63 A, we still see another 50 to 60 acres of further land which we can get. So, we will talk about it when we get there, but we are pretty much well-planned for the next four, five years, sir.

Piyush Mehta: The last issue always has been with the real estate Company is the profitability in terms of PAT might look very different to the cash flow. So, if you could tell me what is the operating cash flow growth Y-o-Y, Q-o-Q for this quarter?

Amit Sarin: Sir, our operating cash flow growths are pretty, as

you know, if you see the last result also, it's

only improving, and our operating profit today is to the tune of, I will just tell you.

Piyush Mehta: The OCF growth Y-o-Y and Q-o-Q, if you could tell? The OCF growth Y-o-Y and Q-o-Q, please?

Pankaj Gupta: Y-o-Y is 25.33. And earlier it was 19.35%.

Amit Sarin: As you know, we all know the scenario is going up, sir. In our business the good part is when prices go up, the selling price also goes up in terms of when we deliver a finished product. By when we make villas, when we make flats, and when we make floors, the effect of land is going up is also taken into that. So, that's how our margins from 19 have jumped to 25.

Piyush Mehta: And you think for the next two, three years we will be at or higher than what we have already done based on the existing

Amit Sarin: This could this time we are seeing after a gap of 10 years. So, we feel that in the next two, three years that this is going to go on. So, it is going to be good for people like us, sir.

Anant Raj Limited

October 23, 2023

Page 12 of 19

Piyush Mehta: So, the trend in real estate you believe will continue last for at least for the next 24 to 36 months.

Amit Sarin: So, definitely, sir, definitely. This is come back and the one good thing Piyush ji now is that you see a lot of end user demand. 10 years back when we used to have booms and all, of course, for 10 years, nobody talks about a boom, especially in our sector. That time you would see investors and all those things, but this time this is real demand, sir, because almost 75% of our sale is now to end users. So, this really helps.

Moderator: Thank you. The next question is from the line of Mr. Vignesh Iyer from Sequent Investments. Please go ahead, sir.

Vignesh Iyer: I just have the question on the real estate side of the business, I mean, except data center that what is the booking or the pre-sale number that we are eyeing for this FY '24, if you have got some internal estimates on?

Amit Sarin: Sir, again like future numbers we can't give, but if you see the 666, the Company has already obtained in terms of top line and the main contributor like we pointed out is the Ashok Estate followed by then Anant Raj Estate. Then even the Navya Birla project is doing pretty well. So, it's a combination of everything.

As of now, sir, with the sense we are getting from the market as we just mentioned that the Company is now getting all set in this quarter to launch the group housing project, which is about 250 flats, and as of now, we see very robust demand.

Some of our competitors without taking any names, but very specifically, a competitor of ours in the same area launched about 350 flats and they got 3,700 checks number of bookings for it, and they had to appoint one of the outside auditors to basically take out a lottery system.

So, as of now, the demand in this area is very robust, and we see no problem in selling whatever we are launching. In fact, we are doing a group housing project this quarter, and then we have one already planned for the next one. So, as of now, we don't see any problem with the demand at all, sir.

Vignesh Iyer: But sir, the number you are quoting of 666, that is a revenue that you are going to actually recognize, right?

Amit Sarin: 666 we have already recognized, sir. Sir, I can't give you, we can't give you future numbers,

right ? 666 is what we have already done in two quarters . But we can assure, we can, of course , discuss the scenario . And the scenario as of now is especially where we are, 63A, this is one segment which is seeing a lot of good demand. And you know, our sector today , all the sector roads , all the new roads which had to come up are all, the infrastructure is all there.

Anant Raj Limited

October 23, 2023

Page 13 of 19

So, we feel

that today launching and execution and fortunately , Anant Raj today has no negative baggage . Anant Raj Limited as their brand has no negative baggage . In fact, in the last few years , we have been able to establish this very well, and this is helping us grow in sales and all . So, as of now , the 250 flats which we are talking about , of course , right now we have not launched it , but we talk in broker circles and all . In fact, broker circles feel that the day we launch in the next and immediately two or three days we should be able to sell everything .

Vignesh Iyer: I get it. So, the overall scenario is quite positive .

Amit Sarin: Yes.

Vignesh Iyer: And for achieving this 300 Megawatt of data center in next three, four years , but you can at least let us know , right ? What is the internal estimate of what you will be achieving by the end of this year or ' 24, '25, '26 that way ? If you could just give us a ballpark number for that ?

Amit Sarin: Vignesh ji, like we just discussed today , as of now , we are doing this in phases . So, the first what we have in hand is the 21 Megawatt . So, as of now , we are fully focused on the 21 Megawatt .

The 21 Megawatt is a total investment of close to 450 crores , out of which we have already spent close to 200 from our internal accruals, and the balance is also what we have which we know that from 63 A and our ongoing projects , we will be able to generate enough to execute this comfortably .

The moment we do this , we have a regular rental stream . If we take out the expenses of 15 lakhs per month per megawatt , we still have 75 lakhs per megawatt per month coming to us . So, this is going to give us a regular rental stream and that rental stream is going to basically help us in executing , in fact , discounting this . So, that time we will be sitting on almost 180 , 190 odd crores of cash coming to the Company every year from data center . So, we discount this , and we take this in phases and execute the balance to get to the 300 mark . The Company will not take on any balance sheet debt , sir. No project debt , no balance sheet debt at all to execute this , sir.

Vignesh Iyer: And for this Manesar , 50 Megawatt , have we got the approval ?

Amit Sarin: Yes, all approvals , everything , sir. Yes.

Vignesh Iyer: It is a 50 -Megawatt project , right?

Amit Sarin: Manesar total will go to 50 Megawatts . We have all the approvals required. They are all done , and now as for our cash flows , as of now we have full clarity on the 21 Megawatt with our internal cash flows , and then we take it to 50.

Moderator: The next question is from the line of Mr . Avinash Gorakshakar from Profitmart Securities . Please go ahead , sir.

Anant Raj Limited

October 23, 2023

Page 14 of 19

Avinash Gorakshakar: Just one small question because most of the questions have been answered . I just wanted to know now our net debt is 770 crores . So, basically , can we assume that by FY ' 25, we could get it down by another say 50 to 100 crores? Because that is something the markets would be quite positive about if this debt comes down and growth continue , that is definitely going to be extremely positive for your earnings growth trajectory going ahead. So, any at least color on this, even if you cannot comment on a number , Amit ji?

Amit Sarin: Avinash ji, as you know, that the starting of 2.5 years back like January '21, this was about 1650.

Touch wood, by the grace of God, this is already 770 . At this run rate , FY '24 -'25, we should substantially get rid of debt, sir. As we can't talk about exact numbers , but substantially , not 100 , sir, substantially down .

Avinash Gorakshakar: So, basically , that means that there would be a lot of interest cost savings because last year I was seeing your interest outgo was about 30 crores . So, that means incrementally the Company will

ill

have further cash flow for obvious expansion when it saves on the interest cost , right ?

Amit Sarin: Fairly, sir, that's the whole plan , sir. And like we just mentioned on the call, sir, at all we don't need all our projects today to be completely funded with our internal accruals. All we need money is for the data center and data center also we will only discount the receivables , not take on any further debt, sir.

Avinash Gorakshakar: I think that's all, Amit ji. All the best and we do hope future also numbers will also come in very strong .

Moderator: Thank you. The next question is from the line of Mr . Amresh Kumar from Geosphere Capital . Please go ahead , sir.

Amresh Kumar: So, 100 crores of cash generation you did this in the first half six months , and you paid back like 68 crores of debt . Correct ? And CAPEX was done to the tune of only about 10 crores. CAPEX for the first six months was less than 10 crores .

Pankaj Gupta: Yes.

Amresh Kumar: So, I mean , you said that you have spent almost 200 crores on the data center . So, you are not spending any more or what is happening there ?

Amit Sarin : I said 200 we spend like till now we spent , sir. We have been working on data center for the past two years , sir. So, till now this includes the strengthening of complete 21 Megawatts and then further getting the equipment for the 3 -Megawatts. The strengthening for the complete 21 has already been done, sir. So, no more strengthening required , sir.

Anant Raj Limited
October 23, 2023

Page 15 of 19

Amresh Kumar: So, when will we see next round of CAPEX in this investment ? When will we see the next round of CAPEX in data centers ?

Pankaj Gupta: Sir, we are doing regularly the development process on data center , and we are doing it for up to 21 Megawatt . Total requirement for the development of data center 21 Megawatt is Rs. 550 crores , and we are incurring at present , we are doing on six , three we have already completed , and three we are in process . So, in totality , we will see for six , it will be around 160 plus strengthening cost.

Amit Sarin: We will just break it up into two, sir, this data center expenses in two ways . A, we had to strengthen the building ; and B , we spent on the equipment and all . So, comprehensively , it is today the 21 Megawatt is going to cost the Company 25 to 26 crores per megawatt . The strengthening work in the 200 which we have already spent , the strengthening work is already completed , sir. That's all done . Now the equipment is coming in for three , we have already received the equipment . It is today all installed and done .

Now the balance three, the equipment is coming in which got delayed . Actually , the lead time of the equipment today has gone up. You know suddenly the Honorable Parliament notified the Data Protection Bill and all. So, the demand for the equipment actually within the country went up and the lead time increased . So, that is what has caused this small delay , but now things are on track . In fact, we are looking at other sources also. So, within this quarter , we will see the next three also up and running .

Amresh Kumar: Sir, I was just arriving at the point that at this rate , your debt should start decreasing even more rapidly going forward.

Amit Sarin: It is decreasing , sir, but at the same time we are spending money on the data center as well , and this is all being done with internal accruals. The Company is not taking on any debt for data center at all . It's all from our internal accrual. So, just have a look, sir. We have spent 200 from our internal accrual. So, these 770 figures which actually if you reduce 200 more , this would have actually gone down to 570, sir. But at the same time, we have to keep a balance. So, data center is one very important thing which the Company started , and

we have this first

mover advantage, number one . Then we have the cost advantage because our land and building is already ready . So, we feel that , and of course , by the Honorable Parliament notifying the Data Protection Act is further increasing demand , and the country very soon is going to be self-sufficient in terms of data storage within the country .

Tell about few years back , sir, all the data of our country used to be stored outside which is a big, big negative for any country . I am sure that the latest the war when it happened between Russia and Ukraine , the first thing Russia , they lost all their data because all their data was

Anant Raj Limited
October 23, 2023

Page 16 of 19

outside the country . So, this is a good thing that our country realized, and we made the law at the right time . So, going forward, we feel that this law along with the buildings which are already ready is really going to help the Company get to the 300 mark as fast as possible .

Amresh Kumar: And sir, just one more thing . How much money is still left to be spent on this 21 Megawatt? You said that you have spent close to 260 crores.

Amit Sarin: 21, about another 300, sir. Close to about 300 more .

Amresh Kumar: 300 crores you need to spend in next two years ?

Amit Sarin: No, no, sir, within '24, sir.

Amresh Kumar: Within '24.

Amit Sarin: Yes, sir. We are sorted , sir. We are completely sorted . You will still see the debt go down , sir.

Amresh Kumar: No, so that we understand that you can do it all from your internal accruals. We are just trying

to arrive at how much more debt can you reduce from this?

Amit Sarin: Yes, sir, as you know, this, the new project which the Company is all set to launch in this quarter is going to give a top line of almost 1,800 crores to the Company, 1,800. The total outer limit of the cost to be incurred is going to be 500, sir. This is an outer limit. So, the rest is all cash flows for the Company which will help us reduce the debt and our data center plus the cash flow from Ashok Estate, from Anant Raj Estate, and from Birla is already on its way. That is already started accruing and coming to the Company.

Amresh Kumar: And sir, you said that within days of your launch you can finish off your inventory. So, when do you think that the next launch date will be there?

Amit Sarin: Within this quarter, sir.

Amresh Kumar: And what is the work left to be done for that?

Amit Sarin: We had to get our RERA and all. So, we can't give dates, but within this quarter, sir.

Amresh Kumar: Within this quarter.

Amit Sarin: Yes.

Moderator: Thank you. The next question is from the line of Mr. Pavan from Renaissance Investments.

Please go ahead, sir.

Anant Raj Limited

October 23, 2023

Page 17 of 19

Pavan: Sir, most of the questions have been answered. Just a couple of things. One, in terms of this realization of 90 lakhs per megawatt, generally, what is the tenure of this agreement? And what is the escalation clause built into this agreement?

Amit Sarin: So, this escalation clause is directly linked to the inflation index which the country comes out from time to time, sir. And the duration of these contracts is anything between 10 to 15 years. As you know, this is fairly a brand-new business for the whole country. So, these things are now coming in place.

But shifting a data center, sir, one thing we have been working on this for four years now and two years of actual on ground execution and prior to that, two years of planning. One thing we can tell you for sure, sir, shifting a data center is not an easy task for anyone. So, the tenure is definitely 10 to 15 years. Maybe more in certain cases.

Pavan: So, this is linked to like WPI. So, you get an escalation every year then.

Amit Sarin: Sir, you get it every year or of course

every year, sir, not every year. I guess this is going to be every three years, but of course, if there is a drastic change in fuel prices then it might affect that, and you can maybe opt for it in between also. But, I guess, the increase in all should be planned for every 3 years. That's how it works for normal rental buildings also.

Pavan: And given that whatever 3, 4 weeks delay we have seen so far, are we still committed to the 21 Megawatt by the end of this financial year?

Amit Sarin: Sir, definitely we are trying our best, but these leads and all, so definitely in '24 we will be done with it. Maybe a quarter plus.

Pavan: And how big will be phase two?

Amit Sarin: Phase two, sir, as soon as the 21 is done, then see, I will tell you the lead time is whether you order for three or whether you order for 10, sir, lead time is more or less the same. Maybe 10 15% plus or minus. So, the moment we see the visibility of our cash flows and sir, we have all come out of a recession after 10 years. So, one is pretty conservative, and you take a backup for the backup. So, as soon as the 21 Megawatts starts earning, then we can very aggressively go and get the balance, and so the time taken will be much less because whether you order for three or whether you order for 10, time is more or less the same.

Pavan: And one last thing. As you are trying to refill your land bank on the development side, are you also looking at refilling your land bank on the data center side, say, as you...

Amit Sarin: No, we are good. Sir, frankly, data center, we get to 300, and we don't see that refilling there is as of now required because even after 21, 300 is pretty a decent number for which we already

Anant Raj Limited

October 23, 2023

Page 18 of 19

have the land bank. So, we don't need to refill that at all right now, sir. Maybe two years, three years down the line, but as of now we are completely sorted in that. In fact, these assets today are worth at least 3,000, if not more, which are today fully committed for data centers in the Company.

Moderator: The next question is from the line of Mr. Darshil from Crown Capital. Please go ahead, sir.

Darshil: And so just want to give you props on fantastic commentary and your style and great results, sir.

Most of my questions have been answered. Sir, just two clarifications may be. Sir, do you mean 21 Megawatt by 2024, that means calendar year 24 or FY '24? That's just a small clarification.

Amit Sarin: Sir, our intent was to do it in FY '24, but because of the lead time and all getting increased, so

we are just, like we just mentioned, maybe a quarter more to achieve that , sir.

Darshil: Yes, on a conservative basis, the first half of FY '25 will be

Amit Sarin: Yes, Mid '24, we should be done with it , sir.

Darshil: And sir, just another question . Sir, in terms of the current inventory in our real estate development side, how much we would have sold out ? How much would be left ? And maybe in terms of percentage, how much are we launching right now?

Amit Sarin: Like we just mentioned , sir, today after what all we have achieved , we are still sitting on a top line of close to 10,000 crores from 63A alone , right . Sir, for this we already own the land . Other than this , the Company just launched two projects , one in Delhi and one in Tirupati which is not directly connected to 63 A, the star project of the Company as of now . Other than that , the Company today is sitting on almost 100 acres of land in Delhi . So, this is going to be monetized later, sir.

So, see, it will not be fair to put a percentage because if you put a percentage because Delhi land is far more valuable, as you know, than anything else . But in terms of if you see the road map for the next 10 years , we are pretty much sorted. Of course , we will be , we are

still looking at

new projects and whatever like within 63 A, 63A for us is a no-brainer . Whatever land we can add in 63A, we always do because we are now today almost 200 acres of this sector .

So, we can even afford to buy half an acre or one or two or three whatever is connected to us and then get permissions for it . So, that way , we are still , like we just said for the next 8 to 10 years , today , we are sitting on very comfortable inventory . Of course , we will be adding on to this inventory as and when our cash flows permit that.

Darshil: No, I meant, sir, in terms of like our existing projects we have sold out a lot of inventory . So, in the existing projects , how much percentage maybe if we have done 80% we sold out or because Anant Raj Limited

October 23, 2023

Page 19 of 19

the new launches we are expecting it to become 100% sold out . So, that way I was just asking in existing our inventory , how much part we would have still left to be pushed out or is it nearly completely sold already ?

Amit Sarin: We will go step by step , sir. Like Ashok Estate, we have sold 80% of Ashok Estate and collected almost 60 % to 70% of the money which is due to us . The balance is yet to come. That's one. Sir, Anant Raj Estate is pretty huge . So, within Anant Raj Estate, if you put a number , even if you include Birla which we have sold to them , but of course , we are a part of 50% owner of that project . So, that money will come to us through that . So, we are sitting on in terms of that , Anant Raj Estate we have sold close to about say 50% . We are still sitting on the balance 50% with us which is with us which is going to be launched in different phases in the next one or two years . So, this is how it is right now.

Moderator: Ladies and gentlemen , that was the last question . I would now like to hand over the conference to the management for closing comments . Please go ahead , sir.

Amit Sarin: Thank you everyone. We really appreciate you taking out the time and trying to understand the Company even better . In future also, we are always open . One can even contact go or the CFO 's office for any queries . We will be more than happy to answer every question. Thank you very much for your interest in the Company . We really appreciate that . Thank you.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us , and you may now disconnect your lines .

Call: Apr 2024

Anant Raj Limited
CIN: L45400HR1985PLC021622
Head Off: H-65, Connaught Circus, New Delhi-110 001
Tel : 011-43034400, 23324127, 23323880 , 43582879
E-mail : info@anantrajlimited .com Website: www.anantrajlimited.com
Regd. Office : CP-1, Sector-8, IMT Manesar, Haryana-122051
Tel: (0124) 4265817 Anant Raj Limited
ARL/CS/13385 April 29, 2024
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Complex, Bandra (E), Mumbai-400051
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Sub: Transcript of Earnings Call for the quarter and year ended March 31, 2024
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations. 2015
Dear Sir,
In continuation to our intimation dated April 22, 2024, please find enclosed a transcript of the Earnings Call held on April 25, 2024 for the quarter and year ended March 31, 2024. The transcript is also available on the Company's website at www.anantrajlimited.com. Kindly take the above intimation on your records.
Thanking you.
For Anant Raj Limited
Manoj Pahwa
Company Secretary
A7812
Encl: as above
Page 1 of 18

"Anant Raj Limited
Q4 FY '24 Earnings Conference Call "
April 25, 2024

MANAGEMENT : MR. AMIT SARIN – MANAGING DIRECTOR – ANANT
RAJ LIMITED
MR. PANKAJ GUPTA – CHIEF FINANCIAL OFFICER -
ANANT RAJ LIMITED

MODERATOR : MR. PRATEEK SINGH – DAM CAPITAL ADVISORS

Anant Raj Limited
April 25, 2024

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Anant Raj Q4 FY24 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prateek Singh from DAM Capital Advisors. Thank you and over to you, sir.

Prateek Singh: Thanks, Dorwin. Good evening, everyone. On behalf of DAM Capital Advisors, I welcome you all to Anant Raj Limited Q4 FY24 Earnings Conference Call.

We have with us on the call today the Management of Anant Raj, Mr. Amit Sarin, Managing Director, and Mr. Pankaj Gupta, CFO. Before we begin, we must remind you that the discussion

on today's call may include certain forward-looking statements and hence should be viewed in conjunction with the risks that the company may face. Without any further ado, I now request Mr. Sarin to take us through the strategic highlights of the business. Thank you and over to you, sir.

Amit Sarin: Thank you, Prateek. Namaskar, everyone. Thank you very much for joining and taking out the time to listen to us and clarify whatever questions you have after that. Just to give you a synopsis, as you must have gone through the numbers, this year has been one of the best years of the company so far. The company comfortably crossed a top line of INR1,500 crores, in fact, to be exact, INR1521 crores and got a PAT of INR265 crores, which so far has been the highest the company has ever achieved. We are still pretty bullish on the company and the ongoing projects.

As you know, in the last year, the company basically focused on three projects in the real estate segment. We did group housing. We did villas, fully furnished. We did floors by way of making

G plus 3 and G plus 2 structures, which was again pretty successful in the market. All the three projects were received very well by the market. We got very robust demands, and we were able to realize a better price than what we had projected also.

This is thanks to the tailwinds in our sector and thanks to RERA and other regulations and all, which have given a lot of clarity in our sector. So going forward, we are still focusing on 63A in the coming years, but just to complete the synopsis of the last year, these three projects were launched, received very well by the market, number one. The company in January this year completed its QIP, in which the company raised about exactly INR500 crores and that money was used basically to retire debt and the other purposes of the company, general corporate purposes of the company, which is all done and the company going forward is pretty comfortable and executing its projects in the real estate sector as well as in the data center.

Anant Raj Limited

April 25, 2024

Page 3 of 18

The next is the debt. The debt of the company has substantially come down. As you are all aware that in the previous call, we had projected that we are by December 24, the company will be a net debt-free company.

The company is fully on the lines for achieving that. The debt has substantially come down. It is now the net debt on the company is INR290 crores, which is a substantial reduction in the debt. The cost of borrowing also of the company has now come down to be low 10%. So, this is the real estate part and the money which we generated from there. As you all know that Anant Raj in data center has also become a major player in North India.

We already started three megawatts. The balance fee is also ready and is in the handing over stage. We are doing that, and we are also very happy to announce that in t

he previous year,

technically in the previous year itself, in March, Anant Raj also entered into a fresh agreement with TCIL, one of our partners for data centers, for providing cloud services also.

So this is an add-on, which the company has now started doing on a basis of trials. With this co-location, which the company is already doing, we are very confident that the project which we are delivering in the market is one of the best. And we understand this project very well.

Both cost-wise and quality-wise, we are one of the best in the country, as well as we are easily competing with data centers even outside India. So, taking this forward, when we got this opportunity through TCIL, we thought that on a trial basis, we will do this also. And we've already started working on it.

The agreement has already been signed and done. And the work for this has already started.

Going forward with our real estate, the company is now fully paused. The company already has the land. All the basic permissions are there. And in the coming year, the company is going to launch another group housing.

The company will launch about 4 lakhs into 2. Two projects of 4 lakhs each, totaling to 8 lakhs for independent floors, and another project of housing in 63 itself of 6.5 lakhs. So, for this, the land is already done.

And the company is fully poised to launch these projects. Vis-a-vis data centers, as you know that our initial thing was 21 megawatts, which the company is fully poised as per the projection and the commitments which we made. We are going to have this operational by 21 megawatts,

would be operational by December 24. In addition, we have also started work at our Panchkula site, where we are going to have another 7. So fortunately, we will have 21 plus 7 by December 24. So, this is the basic synopsis of what we have done in the previous year.

I'll now hand over the thing to Mr. Pankaj, our CFO, to give you a synopsis of the previous year.

Pankaj, please.

Pankaj Gupta: Thank you very much, sir. Good evening, everyone. And thank you for joining us for Earning Call today.

Anant Raj Limited

April 25, 2024

Page 4 of 18

Firstly, I want to express my gratitude for your presence and delighted to report that our performance this quarter has once again demonstrated our commitment to a strong financial growth of the company. Moving on to our financial highlight for the quarter and full fiscal year FY24, I am happy to announce that our revenue from operation has grown 51% year-on-year, reaching INR1,521 crores FY24.

Additionally, in quarter 4 FY24, we sustained a momentum with 56% year-over-year growth in the revenue, which is INR453 crores. During this quarter, our EBITDA reached INR115 crores, making a 39% year-on-year growth. The EBITDA achieved in Q4 FY24 surpassed the complete total EBITDA for the entire fiscal year of 2022, showcasing our focused effort and growth aligned with the strategic objective. Moreover, our EBITDA margin remained reversed to at 24.4% in Q4 FY24.

Looking at the full fiscal year FY24, we achieved a 51% growth in EBITDA, totaling INR371 crores. Our PAT during Q4 grew to 67% to INR84 crores on account of strong operating performance and debt reduction. For FY '24, we saw PAT growth of 75% and achieved INR266 crores of PAT during the year versus INR151 crores achieved during FY '23. I am very pleased to share that this is the company's best profit so far, which we have achieved over the last 15 years. The company has made a remarkable stride in debt reduction and anticipates achieving a net debt-free status by December 2024. Additionally, we have managed to reduce the overall borrowing cost by below 10%.

The net debt for FY '24 is INR290 crores versus INR988 crores in FY '23. We continue to generate improved operational cash flow quarter-on-quarter and expect the trend to continue further. In FY '24, collection yields as an

impressive overall cash flow inflow in FY '24 is

INR1,260 crores. This is an update of Finance. Thank you. Now I am passing the call over to the operator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Bhalchandra Vasant Shinde from Kotak Life. Please go ahead.

Bhalchandra Shinde: Sir, regarding clouds, as you mentioned, if you can provide how the revenue booking will happen and what kind of profitability we will be able to generate? And also on the 3 megawatt which additional come into operation, from when we can expect revenue contribution and EBITDA contribution from that?

Amit Sarin: Mr. Bala, the three additional megawatt is already in the stage of handing over, so maximum another one month we will start recognizing revenue from there. It will start accruing. That's

number one. Regarding the cloud services thing, this is a brand-new thing, sir, and this is something which came to us from the client itself.

The co-location facility which we have created, like you just said, is one of the best. So, we got this offer that if you can provide the server for which they will give us all the details because we do not have a lot of expertise in this segment. But the revenue, sir, with the server coming in can actually go up almost five times.

Anant Raj Limited

April 25, 2024

Page 5 of 18

So, like four years back, we started this data centre thing and now today it is practically happening on ground. So, let's start this. But this one is not going to take four years. God willing, if it works out well, you will see substantial increase in revenues by the end of this year itself.

Bhalchandra Shinde: So instead of 90 lakhs per megawatt, you are saying we will receive somewhere in the range of INR4 crores to INR4.5 crores per megawatt.

Amit Sarin: Sir, 90 is all sorted. Yes, very right, sir. 90 is all sorted. That is something which we understand very well, and we are now in the multiplying stage, and we go on multiplying. Like we just mentioned that instead of 21 by the end of this year, we are now aiming to get to 28. 21 in money, sir.

Bhalchandra Shinde: Yes, but the part will increase because servers are relatively...

Amit Sarin: 21 plus seven is co-location as of now. And in this seven, the additional seven which we are getting, we will now partly start using this for server as well. So, 90 is definitely sorted, sir. And like we just said that this revenue when the server is in, of course, it is not going to be in for the whole 28, but as we are going to test this, maybe with 0.5 megawatt or we do not want to give the exact number. Right now, we are in the stage of planning it. So, this revenue from this aspect can multiply. 90 is definitely there, sir, but this can then multiply by 4x to 5x.

Bhalchandra Shinde: Got it. And even on the profitability part, if you can provide some details, it will be great.

Amit Sarin: The server cost is not much, sir. On a trial basis, we are trying with -- I can just give you basic numbers as of now what we have been given to understand and we are now going to implement it. If we spend INR20 additional on the server, we are expecting a revenue in one year of close to INR120, sir, on that additional part. So that is the increase, because this is only, we are eligible for this because we are the only guys who are sitting with the infrastructure.

Bhalchandra Shinde: Got it. Thanks, sir. I will come back for further questions.

Moderator: Thank you. We have the next question from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: We just wanted to understand the unit economics of the data center business. How much are we investing and what kind of returns can we expect from that and what kind of payback we would be seeing in this business? And the 300 megawatt which we are

intending to roll out, what would be the timeline for that?

Amit Sarin: See, Arpit, right now we have already rolled out three plus three. Three is already there and the balance is now getting rolled out. What we are on an average, because in our case, the land and building is already invested and we are strengthening the building and then investing in the infrastructure, we are spending an additional cost of about INR26 crores.

And as we mentioned in the previous calls also, we get about INR90 lakhs per megawatt per month. We spend about INR15 on the maintenance on operations of this. So, INR75 is the

Anant Raj Limited
April 25, 2024

Page 6 of 18

EBITDA which comes to us with every megawatt. So, our payback on the additional expense which we are spending is about three years.

Arpit Shah: Got it. It's because you own the land and the building, right?

Amit Sarin: Yes, that is the advantage. And it's all ready and non-encumbered, everything was ready. So, that's how we started doing this. We strengthened two towers first and then that is the two towers which are now going to give us 21 megawatts and then so on.

Arpit Shah: Got it. And how are you looking to roll out the 300 megawatts that you have planned? Like, what would be the timeline for that?

Amit Sarin: See, Arpit, right now, this 21 and plus seven, another seven gets operational by December. And as you know, simple math, 75 into 28 and so on. So, then we discount. We have good cash flows coming in from our real estate business. And whatever is the gap, we discount our rentals with this, and we get money and do it. See, Anant Raj, in principle, is going to be zero debt by the end of this year. But LRD is one aspect which we will use as and when we require it. But we will never go beyond LRD.

Arpit Shah: Got it. And any plans to de-merge or that's way too far?

Amit Sarin: Sorry, Arpit, can you repeat that, please?

Arpit Shah: Yes, any plan to de-merge the business or it's really very young business?

Amit Sarin: We are too soon to say anything on that. Let's focus on execution, Arpit. We are very clear, we have the assets, we have the buildings. Let's get to the 300 mark as soon as we can. And our internal planning, in fact, you had asked this question which I missed out, our internal planning is to get to this mark in the next four years.

Arpit Shah: Four years. And the EBITDA is INR75 lakhs per megawatt per month?

Amit Sarin: Yes.

Arpit Shah: Thank you so much.

Amit Sarin: Thank you.

Moderator: Thank you. The next question comes from the line of Upendra from Stockstar Consultancy. Please go ahead.

Upendra: Yes. Hi. Congratulations on the very good set of numbers.

Amit Sarin: Thank you, Upendraj. Thank you.

Upendra: Firstly, I wanted to know, since we have been stressing about the land, which is available with us, I want to know how much percentage of a megawatt cost does the land cost actually?

Supposedly, we are telling the cost for setting up one megawatt of data center is say, INR25,

Anant Raj Limited
April 25, 2024

INR26 crores. What is the actual percentage of the land cost? And what advantage do we as Anant Raj have compared to others who are setting up data centers?

Amit Sarin: Yes. Obviously, land cost varies from location to location, right? So, the three locations where we are sitting on, we already have the land. More than the land, the biggest advantage we feel that we have is the timeline. Of course, land cost can vary for people, sir. But we know for sure that we are, other than the land cost which we already have and the building which we already have, we are incurring an additional expense of INR26 crores which we recover in three years. And then our profits start to kick in. So that's the logic we are in this for. Land cost, sir, is a very variable thing. Land depends on where you have the land. If we talk about the three land

as we are talking about, the land and the existing buildings which we are sitting on today are at a valuation of close to INR3,000 crores as per the present market value, sir.

Upendra: No, my question was, is it a substantial part of our data center cost, or it is a very minimal?

Amit Sarin: It is not a substantial part, sir. It is not a very substantial part.

Upendra: Yes. So that's what I wanted to understand.

Amit Sarin: It's not a very substantial part. The basic advantage which we feel, like we just told you, is the timeline. Anybody to be on the stage where we are would take at least three to four years to get to where we are right now.

Upendra: Okay. And secondly, I want to understand, you were telling about realizing 4x to 5x of revenue over the server or something. Can you just reiterate to what you were telling regarding the 4x to 5x revenue?

Amit Sarin: Upendraj, this is done in two parts. As of now, Anant Raj has fully understood and started executing the co-location. When we say co-location, we are providing the rack with all the infrastructure, which means the building, the power backups, the firefighting, the air conditioning, the batteries, the switches, everything is done by us.

So, this makes us a co-location player. What is remaining, sir, is the server. If we don't want to do it for the whole 300 megawatts. And if we are specifically talking, right now we are working on 28 megawatts, sir, 21 plus 7. So, the 21 is hardcore for meant for being a co-location only. But the additional 7 which we have created makes a match.

As of now, we are starting this as a pilot project. And this also because we were approached by one of our clients. And the client offered us that if you start putting in the servers, the revenue projections which we have seen on paper is almost four to five times higher than what we are presently getting, sir.

So, we want to do this as a pilot. And in this, the client who is coming in is going to be holding, doing a lot of handholding for us. And the agreement for that has already been signed. So, we are now, the first pilot project will kick off in the next maybe two or three months, sir.

Anant Raj Limited

April 25, 2024

Upendra: Lovely. So, is there any plan which you have for setting up the servers together, like any roadmap which you made? I know it is very early to ask you, but will you must have thought of some thing?

Amit Sarin: Sir, let's try this because this is something which came in. And it is our duty to inform the market also because we have already informed the market about the agreement which we have signed. This agreement which we have signed with TCIL, Government of India Undertaking.

And together now, TCIL and us, we will be providing cloud services to various clients. And in this case, we will be putting in the server. So, the agreement for this has already been signed. So,

let's try this, sir. Let's try this with maybe a few racks, like we just discussed, close to half or maybe a little less than half a megawatt. And then let's see how it works out.

Upendra: Lovely. Last question. The 300 megawatts which we are projecting to do, how first, what is the timeline which we have kept for that? And secondly, the revenues which we have thought that we will be getting around INR75 lakhs per month per megawatt, is it a fixed revenue or it might vary maybe in the coming years? Supposedly, there is a lot of supply of the demand in comparison to...

Amit Sarin: Revenue, sir this -- the 300 megawatts we will get in four years, sir. That's number one. Number two, this INR90 lakhs and the operating expenses of 15 and 75 coming into pocket as of now. So tomorrow, these revenues might change. They are somewhere they are linked to inflation where they will definitely change as per the inflation up or down, whatever the case may be. And of course, when the competition starts kicking in, the

things will change.

Let's see how they change. But at Anant Raj, the biggest benefit we have is the low cost because we are able to do this in INR26 crores, sir, whereas there are people who are spending almost double this amount. So, Anant Raj has that buffer that tomorrow if the revenues are revenue stream is definitely controlled by the market, sir.

So, let's see how they shape up. But as of now, sir, thanks to the law already being notified by the government. And now it's very simple that Indian data has to stay within India, which is the case with every any big established country. So our country is also gone into that category. So, this law is here to stay, sir. So, demand here is only going to go up. Of course, supply will be there, but the demand is phenomenally going to increase, sir.

Upendra: Correct. So, if I'm right, 300 megawatts and INR75 lakhs of revenue will translate to somewhere around INR2,500 crores in the next four years, just from the data centers?

Amit Sarin: Sorry, you're saying in the reverse. Can you just repeat the last part?

Upendra: The INR75 lakhs for 300 megawatts should come somewhere around INR2,500 to INR3,000 crores.

Amit Sarin: Yes, sir. Yes, sir.

Upendra: That's correct.

Amit Sarin: Correct, sir.

Anant Raj Limited

April 25, 2024

Page 9 of 18

Moderator: Lovely. Thank you so much. Thank you so much.

Amit Sarin: Thank you.

Moderator: Thank you. The next question is from the line of Pavas Pethia from Aditya Birla Mutual Fund. Please go ahead.

Pavas Pethia: Sir, on this server thing, you're saying the revenues are INR4 lakhs to INR5 lakhs of the rental which you are getting right now, so it becomes INR4 crores to INR5 crores per month per megawatt?

Amit Sarin: Yes, sir. Yes, sir. So, we can't give projected numbers like this because this is a trial case which we have started, but yes, sir, definitely.

Pavas Pethia: Okay. And since the client is providing the technical know-how, everything, so what's the incentive for clients when he already has a technical know-how, the margins are 80%, 90%?

Amit Sarin: His fees goes up because, we have a good arrangement with them which we can't disclose it like this, but then his fees goes up, sir, because he gets an X amount of fees on 90 and he gets, if the revenue is five times higher than his fees, it's also five times higher.

Pavas Pethia: Yes, I understand, but the only thing is, since you are a kind of a new player here, your knowledge about this server part is kind of quite limited, earning 80%, 90% margins, so what's in for the client?

Amit Sarin: The client is as it is paying this, sir. The client is as it is paying this elsewhere. Sir, as if you -- you can simply go on any website of any major cloud provider and you can see for yourself what are the rates? So, the rates we are talking about 4x to 5x is actually in line with that. In fact, maybe a little cheaper.

Pavas Pethia: Okay. And what kind of investment will you need from your side apart from the, say, the 20% of the operating cost?

Amit Sarin: We will actually be investing in the server and that's how we become eligible to earn the cloud money. So, server is what we are going to be investing in, but as of now we are going to do it as a pilot in a very, as a test case, not even 0.5 megawatt. Let's see how it pans out and then we take it further.

Pavas Pethia: In terms of costing of this server per megawatt, any ballpark numbers?

Amit Sarin: So, this is, again, we are now working on it and hopefully by the time we do our next call, the server will be in, and we can share the exact cost. But like we just said, as of now, we are going to do it like a pilot and with bare minimum investment. And let's see how the revenue shape up and then multiply this in future.

Pavas Pethia: Sure. And the target for this 28 megawatt by December is okay. But if I have to look at FY'26 and what k

ind of figures we are looking for data center?

Anant Raj Limited

April 25, 2024

Page 10 of 18

Amit Sarin: We get to 28 and then the revenue which we generate from this 28 plus the real estate income, which is completely sorted because our 63A, as of now, for the next three to four years is completely sorted. We are sitting on 100 acres, which we are now executing. So, both these things put together, we get to the 28 mark, then we get to the 50 mark and then so on onwards from there.

Pavas Pethia: I understood.

Amit Sarin: We started working on two locations. We started working on the Manesar location, which is known to everyone. The additional seven is coming in from the Panchkula location. So, we started work there as well.

Pavas Pethia: I understand the 300 megawatt in four years, but what will be the second-year number, third year, any broader number?

Amit Sarin: The second -year number will be 50, definitely. And we are working on increasing this 50 to 75.

As of now, this is a brand -new thing for the whole country, as you know. Data center business is a brand -new business for the whole country. So we are also learning as we are going on ground.

Today, we feel that we have understood the co-location part very well, which we are doing as one of the best in the country. And now slowly, slowly, we want to do different things. So, we will start multiplying capacity as well as add -on services along with this as we go along.

Pavas Pethia: Sure. And on residential piece, you said 0.4 million square feet into 2 plus 0.65. Total launches are roughly around 1.45 million square feet.

Amit Sarin: 1.45 million square feet of group housing, sir.

Pavas Pethia: Okay. So, this year, you will have roughly around 2.5 million square feet launch?

Amit Sarin: Yes, sir.

Pavas Pethia: Okay. And post this, how much land parcel is available in 63A in terms of million square feet?

Amit Sarin: We have three more group housings. And we have another which we already own. We would have close to another 55 to 60 acres of land remaining with us, which is eligible for various licensing.

Pavas Pethia: But on current land bank, how much is left after this 2.5 million square feet?

Amit Sarin: Sir, after this 2.5 million square feet, the total is approximately -- with the present land bank, we are eligible for 9.07. So minus 2.5, balance is still there with us.

Pavas Pethia: Okay. Thanks. That's all from my side.

Amit Sarin: Thank you.

Anant Raj Limited

April 25, 2024

Page 11 of 18

Moderator: Thank you. The next question is from the line of Akshat Shah from Niveshaay. Please go ahead.

Akshat, the line for you has been unmuted. You may proceed with your question.

Akshat Shah: Hello. Thank you. Thank you for taking the question. I want to ask -- you said in previous meeting that data center will be funded through internal revenues. So how will it be done?

Because it seems hard to generate 8,000 to 9,000 in the next three years?

Amit Sarin: Akshat, the present land bank which we have is eligible for 15,000 as of now in 63A alone. That is all on our website. You can go and see. You can have a look at the projects with all the numbers. It's all there, number one.

Number two, as and when we require -- like we said in the beginning of this call, as and when we require, we have the option of using LRD. Because LRD has already started accruing. Of course, we are not using it because we don't need the money right now.

But as and when we need a bridge to finance this gap, if there is any delay or maybe the market slows down with our real estate, then we have the option of LRD. So, with these two combinations, we are completely sorted for our 300 mark.

Akshat Shah: Okay. And the second question is what can be our net margins for data center services?

Amit Sarin: Akshat, as of now, we only discuss the co-location thing. The co-location net m

argin, the

EBITDA is INR75 lakhs per month per megawatt as per the present going rates.

Moderator: Akshat, does that answer your question?

Amit Sarin: Akshat, anything else?

Akshat Shah: No.

Moderator: Thank you. The next question comes from the line of Rishith Shah from Nuvama Wealth. Please go ahead.

Rishith Shah: Hi, sir. Good evening. Thank you for the opportunity. Great set of numbers. Two questions from my end. So, one regarding -- so while we do not want to give out the exact numbers, but some idea regarding -- so when we say the revenue from the cloud can be potentially 4x to 5x of the co-location. A similar range or a ballpark figure you can give regarding opex, how much increase do we see over there?

Amit Sarin: Not much. Rishith, like we just said, we are doing this as a pilot because we had already informed the markets in March. So, we had to cover this in this call. As of now, this is going to be a pilot which is not even half a megawatt to start with. And the investment is very minimal in this. We are going to be getting servers as per the technical expertise of our client, which we have already signed the agreement with. And then we provide cloud services.

So as of now, the expense is very minimal. As you know, we can't give future numbers like this.

But as of now, we are talking about a basic expense which is may be INR20 crores -INR30 crores and then taking it from there.

Anant Raj Limited

April 25, 2024

Page 12 of 18

Rishith Shah: Okay, got it. So that would be the capex part. But on the opex side, it would be similar to what we are doing in co-location.

Amit Sarin: It is not going to be a huge difference because as you know that the revenues go up almost 5x. The operational cost is not much. Maybe it will go up to -- the INR15 lakhs which is there, that can go to maybe INR25 lakhs -INR30 lakhs, not beyond that.

Rishith Shah: Okay. Great. And second question, on the bookkeeping side, in the fourth quarter, if you can just give me the number of -- the revenue that came from data centers in the revenue as well as the EBITDA in the fourth quarter?

Amit Sarin: Fourth quarter accrued revenues close to approximately INR3 crores . Because it has just started.

Rishith Shah: Okay. Sure. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Bhandari from AART Ventures. Please go ahead.

Prateek Bhandari: Am I audible, sir?

Amit Sarin: Yes, you are. Can you be a little louder, Prateek?

Prateek Bhandari: Yes, sure. So just had a couple of questions from my end. Just wanted to understand as to what is the contract life of a data center if you can let me know as to...

Amit Sarin: So, this varies from 10 years to 15 years, sir.

Prateek Bhandari: 10 years to 15 years. And as you stated that this 21-megawatt will be operational along with the 7-megawatts which you are having in Panchkula by December FY24 . So, if I have to understand

about the total capex that you would be incurring on the data center for this current year that is FY25 would it be approx?

Amit Sarin: 500 sir.

Prateek Bhandari: And what would be the source of funding whether internal or...

Amit Sarin: As we just explained as of now the company is sitting on money -- cash money which is basically meant for executing data centers. And the launches which we've already done are generating enough money. So, all this 28 is completely done in-house.

Prateek Bhandari: And another question that I wanted to have was, wanted to understand as to what is the maintenance capex that we can look at in terms of the renters in the data center? I mean, regard to the renters what kind of maintenance capex can we expect?

Pankaj Gupta: So, this is the operational cost already we have explained around INR15 lakh per megawatt, but capital expenses -- operational capital expenses it will come after 10 years. Basically, all the equipment's we

have incurred it is a very long process to get this capitalized because only battery is the case in which we have to do the capex replacement.

Anant Raj Limited

April 25, 2024

Page 13 of 18

Prateek Bhandari: And what about the security systems?

Pankaj Gupta: Security system will come into the operational activity that we have already considered in opex. We are spending INR15 lakhs every month.

Prateek Bhandari: So just wanted to get a ballpark figure as to in terms of percentage?

Pankaj Gupta: See it will come near about 18% sir.

Prateek Bhandari: 18?

Pankaj Gupta: Yes, total 18%.

Prateek Bhandari: Total 18%. Okay. Thanks a lot sir. That answers my question and wish you all the best.

Pankaj Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Sitaram Agarwal from Tree Line Investment Management. Please go ahead.

Sitaram Agarwal: Hi, Amit. How are you?

Amit Sarin: I am good, sir. How are you? All well?

Sitaram Agarwal: Yes. Amit, just a few questions. Did I get you correct in your statement that the capex for data center for you is about INR25 crores, INR26 crores versus for competition it will be double that amount?

Amit Sarin: Yes, sir. Definitely.

Sitaram Agarwal: So, is the difference primarily and the difference in this capex is primarily coming from the land and building investment? Is that correct?

Amit Sarin: I will tell you, sir. We have kept it very simple, sir. We already have the land and buildings . We are strengthening our building, number one. Number two, then we are spending on whatever money we are spending to be a co-location player and this we are getting a finished product in our hand at INR26 crores.

So, when you see numbers coming out in various reports and all, they are almost double when people are projecting that they will be making data centers. They are talking about a cost of INR55 crores to INR60 crores. So, we are taking it from there, sir.

We actually how -- from where, what their source is we don't know. But this is something which

you can go and see on the website cost of 1-megawatt of data center, and you will come across these figures of INR55 crores to INR60 crores. In our case, we worked out very carefully that we have the land, we have the building we need to strengthen.

Anant Raj Limited

April 25, 2024

Page 14 of 18

So, we know that we are spending about INR4 crores to INR5 crores per megawatt for the strengthening part and the balance is for the equipment. And then we compile the whole thing and in 26 we get a finished product which we have delivered, and it is visible on site.

Sitaram Agarwal: Right. Okay. Got it. So, this will make your overall economics much better compared to competition?

Amit Sarin: Definitely. See, Sitaramji, how we came into this was our buildings were there, they were vacant. Fortunately, there was no third-party right, no encumbrance on the buildings. And as soon as this data center things started coming into the country this is somewhere in 2019 when the government was serious about making a law and all these things we started working on this aspect.

We approached various expertise bodies who certify and rate data centers. They certified us, they rated us and yes, these buildings are eligible to be data centers and then we started our work and today, we have a finished product with us.

Sitaram Agarwal: Amit, another question is the INR15,000 crores that you talk about, this is entirely 63A that is 9 million square feet. Is my understanding correct or please correct me if I am wrong?

Amit Sarin: Yes, sir. This is only 63A and only 9 million square feet as of now. There are various other assets which we are not even touching right now.

Sitaram Agarwal: The other assets you mean the Delhi land parcel.

Amit Sarin: Delhi land parcel, there are various other miscellaneous land parcels. It is all there on our website,

sir. If you have a look, you will see everything, but for the next four years our complete focus vis-a-vis it is registered a 63A.

Sitaram Agarwal: So, essentially whatever INR8,000 crores, INR10,000 crores capex is going to be needed in ramping up to 300 megawatts, you expect to source largely by monetizing 63A. And if there is a shortfall then you will go in for LRD of your existing rental?

Amit Sarin: Yes. Definitely. Yes.

Sitaram Agarwal: And how much is the existing rental annually?

Amit Sarin: We are already at about 90 sir. All rentals and other income.

Amit Sarin: Yes sir. This is nothing to do with data center. If a data center is very small as you know. This is majorly our other buildings, and all these are yielding and other things.

Sitaram Agarwal: So, this 90 crores annual rental is from your commercial properties?

Amit Sarin: Yes, sir commercial and other properties, yes. Retail, commercial, other things.

Anant Raj Limited

April 25, 2024

Page 15 of 18

Sitaram Agarwal: Yes. So, this can potentially be about INR1,000 crores, INR1,100 funding at whatever 8% to 9% cap rate?

Amit Sarin: Yes. Some of this is already discounted.

Sitaram Agarwal: And Amit it may be a little too early, but do you sense that because your data centers are going to be long-term contracts of 10 years, 15 years, these are also essentially assets which you can avail LRD on?

Amit Sarin: Yes, definitely. Sir, that is what we are actually banking on if there is any shortfall. Sir, as you know, at Anant Raj we are very averse to debt and we will be out of debt by the end of this calendar year, number one. And the only debt which Anant Raj is open to taking is LRD and this is one of the best items for LRD because you have long-term leases and good clients. So, the rates here are even better than normal commercial building LRD rates.

Sitaram Agarwal: So, do we have – do the renters in data centers do they have any annual escalation or anything of that sort?

Amit Sarin: As of now sir this is linked to inflation.

Sitaram Agarwal: On the revenue side?

Amit Sarin: All these things go up. So, this is directly linked to inflation as of now, sir.

Sitaram Agarwal: Okay got it. All right. Thanks Amit.

Amit Sarin: Thank you. Bye.

Moderator: Thank you. We have the next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Am I audible, sir?

Amit Sarin: Yes, Vignesh yes tell us, please.

Vignesh Iyer: Thank you for the opportunity and congratulations on a great set of numbers.

Amit Sarin: Thank you, Vignesh.

Vignesh Iyer: Sir, on the data center side I just wanted to know if I heard it right by quarter 4 are we expecting the Punchkula INR7 million also to kick in?

Amit Sarin: Yes, sir. By quarter 4 definitely

Vignesh Iyer: So, the ramp up would be quite fast 3, 6 so the numbers would ramp up very fast to 28?

Anant Raj Limited

April 25, 2024

Page 16 of 18

Amit Sarin: Yes, sir quarter 4 definitely, but because they are teething, they are handing over taking over situation's servers come in. So, it's a process. We'll be ready by December. So, by January, February, it will start kicking in. But by Q4, the revenue will start kicking in.

Vignesh Iyer: Okay. I mean, it is okay. Basically, the readiness would be there of the 28 megawatts, right?

Amit Sarin: Yes. It will start sooner or later. Like, we'll be ready. So, then we start handing over and they start taking it over. Servers start to come in, like we just told you.

Vignesh Iyer: Right. So, again, on the Punchkula part, where you said the server, the cloud server, the business you are eyeing as of now for 0.5 megawatts, you are trying to get into it. So, when you say that the server cost is around, you are going to spend around INR30 crores. For that INR30 crores, is it linked to 0.5 megawatts, 1 megawatt? Would the server

cost be that much? I mean, the capex?

Amit Sarin: This is half a megawatt. This is 0.5 megawatt only. This is INR30 crores. And see, servers also, you know, vary. The cost of server also varies from server to server. But the one we are going to be providing for the pilot project is going to be within this limit.

Vignesh Iyer: Okay. So, this specific... Sorry.

Amit Sarin: Yes, tell us, please. No problems. Tell us.

Vignesh Iyer: So, basically, if I understand right, this customized server that is required for this specific line, so for that INR30 crores is for the 0.5 -megawatt project, right?

Amit Sarin: Yes. So, let's do this as a pilot. So, we now, see, sir, we feel this is something if you take it very raw when we do deal with land, we start doing acres. Then, when we develop those acres, we try to come into square yards. Then, when we develop those square yards, we come into square feet.

And then we start furnishing those square feet also, and then so on. So, this is something like that. We have understood co-location very well, and we are doing it, we are one of the best in the country now. So, this offer came to us from our clients that if you start putting in servers, so we wanted to very conservatively approach this. So, we picked up this as a pilot. We do this half a megawatt.

And then, as of now, the projections as for this half a megawatt are close to four to five times of the investment which we are making. So, let's take it forward, and then try and multiply it.

Vignesh Iyer: Right. Absolutely. Thank you, sir. That's all from my side, and all the best.

Amit Sarin: Thank you, sir.

Moderator: Thank you. The next question is from the line of Upendra from Stockstar Consultancy. Please go ahead.

Upendra: Yes. Thank you for coming back again with another question. So, the 0.5 -megawatt pilot project which we are doing, you have told that we will be incurring around INR30 crores for the 0.5

Anant Raj Limited

April 25, 2024

Page 17 of 18

megawatt. So, will the investments for the 5X revenue which we are projecting for the 7 megawatt, will it be in line with this, or will there be shifts?

Amit Sarin: Upendra let's start this. Let's start this first. For our co-location, we started with three, and now we are multiplying it. So, let's start this with half a megawatt and then take it forward. Let this get established. Let us start earning money from it. And if we understand it well, and our clients start approaching us by giving us technical backup also, then we start multiplying this.

Upendra: Okay. Understood. And secondly, I just wanted to ask, why our investor presentation is only about data centers and there's no mention about...

Amit Sarin: So, this is brand new. This happened in March. This is yet to start. But because we have already informed the stock exchange that we are going to be doing this, we covered that in the call.

Upendra: But there's no mention about the real estate on your investor presentation if I'm not wrong.

Pankaj Gupta : So, sir, the update you will get in this particular quarter investor presentation, which we are going to upload today or maximum by tomorrow. You will get all the details.

Upendra: Yes. Thank you. Thank you so much.

Amit Sarin: Thank you.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes, hi, Amit. I just wanted to understand..., I just wanted to understand the ramp-up of revenues because you just mentioned Q4 was around INR3 crores . How should we look at it? Because you mentioned about INR90 lakhs per megawatt per month. So, shouldn't the revenues be a little higher or how does the ramp-up happen in this business?

Amit Sarin: This ramp -up, like we just discussed , is like handing over and taking over. And so, this takes a little time. And as you know, as we all know, this business is brand new

for the whole country.

So, it is slowly, slowly ramping up. So, we have handed over, but the servers are about to come.

And that way, we are a very cooperative company and very flexible as well. So, we want our clients to settle in well and then we start earning. This is a long -term thing. So, this will go on.

So, initially, it might take a few months here or there. But ultimately, this is all getting handed over and there is enough demand. Today, like we just discussed, the law is already in place. The demand is already there. You just need to go on continuing. But at the same time, because the law has just been made, the demand has just come in . So, there are teething issues in this thing, which we are quite equipped to handle, and we are very flexibly handling it.

Arpit Shah: Got it. So, how do you see the share of profitability in terms of real estate and data center business in the next, let' s say, one or two years? You would see a large delta in the data center business where the profits or the profitability in the share goes higher for data center business. So, next couple of years.

Anant Raj Limited

April 25, 2024

Page 18 of 18

Amit Sarin: See, Arpit, with real estate, we are very clear . We have our roadmap for the next nine years with the present land bank, which we already own. As of now, we are fully focusing on 63A. Then Delhi kicks in. Other parts start kicking in. So, nine years with the present land bank, we are completely sorted without real estate. But yes, data center, we love data center. Why? Because today, as it is, we are a company which was born to create rental income. And this is something which we've always been doing. We came back into residential only in 2010-2011. Prior to that, we were only focusing on making commercial buildings and leasing them out.

We understand rental income pretty well. And we want to focus on this in the future also. Of course, office demand keeps on changing. But this data center demand will keep on increasing.

As of now, the country's capacity, everybody's talking about this capacity going almost eight, nine times than what it is presently there. So, we see enough demand here. And this regular income will start. And like we discussed, the leases here are 10 to 15 years and further renewed. Because shifting a data center is not easy.

Of course, being a new business, it is settling in right now. And you will see within the next six, seven months, you will see a lot of settling in happening and then things multiply.

Arpit Shah: Thank you.

Amit Sarin: Thank you.

Moderator: Thank you. We have no further questions at this moment, ladies, and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Amit Sarin: Thank you, everyone. Thank you for your time. And we hope we were able to answer all questions. Our cloud website has already been... Our presentation with our cloud has already

been uploaded. The real estate will be uploaded by tomorrow maximum. You can have a look.

And then if there are any questions, the management is more than happy to answer everything.

So, thank you once again.

And like we said we achieved a good year this time. So far, it has been the best. But we are pretty bullish, and the run rate will keep on ticking. And the revenues from last year really went up.

And we... Today, the landmark which we are sitting on, we are very robust on the future as well.

Thank you, everyone.

Pankaj Gupta : Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

Anant Raj Limited
CIN: L45400HR1985PLC021622
Head Off: H-65, Connaught Circus, New Delhi-110 001
Tel: 011-43034400, 23324127, 23323880,43582879
E-mail : info@anantrajlimited.com Website : www.anantrajlimited.com
Regd. omce: CP-1, Sector-8, IMT Manesar, Haryana-122051
Tel: (0124) 4265817 Anant Raj Limited
ARL/CS/13450 November 6, 2024
The Secretary,
The National Stock Exchange of
India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G-Slack, Sandra -Kurla
Complex, Sandra (E), Mumbai-400051
Scrip code: ANANTRAJ The Manager
Listing Department
The BSE Limited,
Phiroze Jee Shoy Towers,
Dalal Street, Mumbai -400001
Scrip code: 515055
Sub: Transcript of Earnings Call for the quarter and half year ended September
30,2024
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015
Dear Sir,
In continuation to our intimation dated October 25, 2024, please find enclosed a transcript
of the Earnings Call held on October 30, 2024 for the quarter and half year ended September
30, 2024.
The transcript is also available on the Company's website at www.anantrajlimited.com.
Kindly take the above intimation on your records.
Thanking you.
For Anant Raj Limited
Manoj Pahwa
Company Secretary
A7812
Encl: as above
Page 1 of 17

"Anant Raj Limited
Q2 FY 25 Results Conference Call"
October 30 , 202 4

MANAGEMENT : MR. AMIT SARIN – MANAGING DIRECTOR – ANANT
RAJ LIMITED
MR. PANKAJ GUPTA – CHIEF FINANCIAL OFFICER –
ANANT RAJ LIMITED
MR. MANOJ GOYAL – CHIEF BUSINESS OFFICER –
ANANT RAJ LIMITED
MR. ASHIM SARIN – CHIEF EXECUTIVE OFFICER ,
DIRECTOR , HEAD DATA CENTER DIVISION – ANANT
RAJ LIMITED

MODERATOR : MR. HARSH PATHAK – EMKAY GLOBAL FINANCIAL
SERVICES

Anant Raj Limited
October 30, 202 4

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY25 Results Conference call of Anant

Raj Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Harsh Pathak from Emkay Global Financial Services. Thank you and over to you, sir.

Harsh Pathak: Yeah, thank you, Pallak. Good evening, everyone. I would like to welcome the management of Anant Raj and thank them for this opportunity. We have with us today Mr. Amit Sarin, Managing Director, Mr. Pankaj Gupta, Chief Financial Officer and Mr. Manoj Goyal, Chief Business Officer. I shall now hand over the call to them. Over to you, gentle men.

Amit Sarin: Thank you, Harsh. First of all, a very happy Diwali to everyone and thank you for taking up time to attend our conference call, our earnings call. Thank you once again. First of all, I would like to introduce, I have my colleagues, Mr. Pankaj Gupta, Mr. Manoj Goyal and Mr. Ashim Sarin, who is also the CEO and the Director of the company and he heads the data center division. As we were preempting that there will be a lot of questions on the data center, so we requested him to join as well.

So I'm sure everybody has got a chance to go through the numbers of the company and this is one of the best numbers the company has reported so far. But we want to tell you one thing that this is just the beginning. The story has just begun and we are very proud and happy to share that this time not only the real estate division of the company has been contributing a lot to the company for the past three years, but this time the data center revenues have also started to kick in into the company.

And all the real estate projects as planned and as discussed by us in our previous calls and on our various updates, in our presentations, all are fully on track. There is no delay whatsoever and everything is on track and has been launched on the decided dates, number one.

Number two, the company was already into co-location as we all know that the company successfully initially started with 3 megawatts and added another 3. In our last call in April, we had informed everybody that the company is now going to be venturing out into its own cloud and this was done in the month of April this year and we very proudly and happily would like to share that we have already done that.

On the 7th of October, the company launched its own cloud called Ashok Cloud, named after our Founder, Chairman, Shri Ashok Sarin. We got very good response for it and this today has placed Anant Raj Group as one of the main players of not only data center, but cloud also. So today we are a single stop solution for everything. If somebody wants simple co-location, we can provide that. If somebody wants to have cloud, we can do that. Somebody wants servers, we can do that and various services which as we go by, Mr. Ashim Sarin will explain further.

Anant Raj Limited
October 30, 2024

Page 3 of 17

Other than this, vis-à-vis is the real estate division. The company has added another 20 acres of land in Gurgaon and that is as per the growth plan of the company, which the company also discussed in the earnings call.

One very good thing which the company has done, we are fully in the earnings call last time, we had mentioned that Anant Raj is going to be a zero debt company by December 24 and we are fully on track to do that. So all things compared to the previous call, fully on track. Now I will request our CFO, Mr. Pankaj to give you a financial

update. Over to Pankaj.

Pankaj Gupta: Thank you, sir. Firstly, I would like to extend my warm wishes to everyone for a happy and prosperous Diwali. I hope this festive season brings you joy and success to all of you.

We are pleased to announce that this has been the best quarter and half year in the history of our company so far, achieving a record-breaking result across key financial metrics. We announced that we have achieved a revenue of INR 524 crores, which represents a growth of 54% compared to Q2 of last financial year. For the first half of FY25, revenue growth stood at 51% over H1 FY24.

In addition, our operational efficiency and focus on cost management enable us to deliver robust growth in EBITDA and profitability. For Q2 FY25, we recorded an EBITDA of INR 124 with a year-on-year growth of 40%. And for H1 FY25, EBITDA rose by 49% compared to the previous year.

Our profit after tax for Q2 FY25 was INR 106 crores, reflecting a remarkable 75% growth year-on-year. With PAT, for the first half of FY25 saw an increase of 78%, further highlighting our strong execution and cash flow management. As we discussed in our previous update, we remain firmly on track of achieving a net debt-free status by the end of next quarter, a key strategic objective for Anant Raj Limited.

This milestone is integral to our broader vision of strengthening our balance sheet and enhancing financial selectivity. I am

pleased to report that we have made a substantial progress towards this goal, with a further reduction of our net debt by IN R124 crore s during Q2 FY25 compared to Q1 FY25. Our outstanding net debt stands at just IN R95 crore s as on 30 September 2024. This achievement reflects our disciplined approach to debt management and is supported by the strong operational cash flow, which has enabled us to aggressively reduce our leverage over the past few quarters. Now, I would like to hand over the floor to Mr. Manoj Goyal, CBO, Anant Raj Limited, to give an update on the business plan. Thank you.

Manoj Goyal: Thank you, Pankaj. Good afternoon, everyone, and a warm welcome. Happy Diwali to everyone. As Pankaj mentioned, we are delighted to report the strongest performance of this quarter of the company, which demonstrates our strong teamwork and the organisation's effort to maintain the growth and to build a strong infrastructure. Our targeted investment has enhanced, already translated into tangible results, and that is reflecting into the results of the company. We have done a lot of things operationally, but there are certain key operational highlights which I want to highlight to everyone.

Anant Raj Limited
October 30, 2024

Page 4 of 17

As Amit sir has mentioned, we have commenced 6 megawatts IT load of the data centre at our Manesar facility, and the work on 21 megawatts is going with a full speed. So this will reach to 28 megawatts of IT load at Manesar and the Panchkula by the end of FY2025. In the meantime, we have also commenced cloud services, and the pilot project of half megawatt of the IT load has already been commenced, and this cloud will be initially providing infrastructure as a service, which has been built along with the world's best of the OEM and the service provider. In addition to the infrastructure as a service, the company has a plan to take this infrastructure as a service to the platform as a service and software as a service in the coming time. As Amit sir again mentioned that we have acquired about 20 acres of the land in Gurgaon, and that will enhance the overall development portfolio of the real estate site that is in the prime area of Gurgaon. As you are all aware that we have launched a group housing project called Estate Residences for which the construction work has been commenced, and it's going in a full fledged. We are constructing the project with the most advanced technology, and our affordable housing

in Tirupati, the work has also been commenced at that place. When we come to the JV with Birla, the phase one, the delivery of the Phase I has already been commenced, and about 228 units have already been handed over. Thank you.

Now I'll request MD Sir to take the floor and take the questions and answers.

Amit Sarin: I hope everybody understood the update. Everybody is more than welcome to ask us any questions if they want to. Over to you, please.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Gautam Shroff from Nuvama. Please go ahead.

Gautam Shroff: Congratulations, Amitji, on a stellar quarter. You've entered a 100 crore club. That is an achievement, I would say. To many more. Amitji, my first question to you and team Anant Raj is, we also read about you announcing a fund raise program. How aggressive are the growth plans and how are you thinking two or three years down the line?

Amit Sarin: As of now, this fundraising is completely focused. It's going to be INR 2100 crores out of which promoters are going to put in 100 and we will go to the market for the balance 2000. The main focus of this fundraising is going to be for the data center business.

As you know, one new development this year has been that the company has come into clouds. The company is fully funded and fully on track for its first 28 megawatts. For that, we do not need any money. But in the coming year, and we are almost there at 28 now, so in the coming year, we plan to add another 35, taking the toll to 63 megawatts. In this 63 megawatts, after launching Ashok Clouds, we are very confident because we've got very good response for Ashok Cloud, the cloud services which the company has launched. When we explained on the call, today we are a single-stop solution for any cloud need of any client anywhere in the world.

Of course, the focus is always going to be India. In this situation, we feel that out of this 63 megawatts, 14 megawatts can be, as of now, depending on our fund position and the fundraising

Anant Raj Limited
October 30, 2024

Page 5 of 17

which we are going to do, can be easily put into clouds. This takes the data center business and Anant Raj Clouds into a different horizon.

In this, you are going to be then competing with all the hyperscalers and the largest ones in the world. That is the category we want to go into. As it is already public knowledge, the technical tie-up for the product which we have launched so far, for which we got very good response, is with Orange, the French company. It's doing pretty well. That is the focus of the fundraising.

Gautam Shroff: Thank you.

Moderator: Thank you, sir. The next question is from the line of Akshat from Niveshaay . Please go ahead.

Akshat: Congratulations, first of all. My question is, is there any realignment in the guidance for the number of data centers capacity to build over the years, like by 2029 or 2030, when it will be like 300 M W?

Amit Sarin: Akshat, we are fully on track, sir. As you know, there are three locations the company is working on. As of now, location number one, which is Manesar, has already started. Location number two, which is Panchk ula, is about to start and should be up and running by December this year. So another two months to go, we will be starting Panchkula as well. And the third one is going to be Rai.

In the coming year, Rai is going to start as well. So as of now, the focus vis-a-vis the location is going to be these three locations. But what is going to be different is that rather than just being a co-location player, which means that if you are only a co -location player, you are always dependent on hyperscalers for busines s.

But now, with the cloud coming in and kicking and getting very good response, we are going to add on these services. Out of 63, 14 will go, which is alm

ost about 25%. So we plan to maintain the same ratio.

But we see a lot of business coming in, sir. Subject to our fund position, we will try and develop more of cloud, because that is much better in terms of cash flow and profitability, compared to the co -location.

Akshat: Thank you, sir. I would ask that what is your...

Moderator: Sorry to interrupt you, sir. Sir, can you use your handset?

Amit Sarin: Actually, can you be a little louder? Sorry?

Akshat: So, what is the capex cost for building a cloud service? What is for one megawatt of that?

Amit Sarin: See, Akshat ji, the ballpark figures for a cloud, although this business is actually calculated in terabyte, megabyte, and petabyte, but if you just put it in simple words, one megawatt has an additional investment of close to INR 100 crores. So, that is how expensive it is. But then the horizon is very wide, sir.

Anant Raj Limited

October 30, 202 4

Page 6 of 17

And we have done 0.5, for which we got very good response. And this is one of the best qualities available in the world which we have been able to launch.

Akshat: Can we compare the type of service with companies like E2E and etc.?

Amit Sarin: Just a bit louder, sir, please.

Akshat: Sir, can we compare the type of service we are providing with companies like E2E networks?

Amit Sarin: This I request Mr. Ashim Sari n to answer. Ashimji?

Ashim Sarin: Yes, sir. The services that we are offering now is basically infrastructure as a service. So, that is the first layer of the cloud services, and that we've already started. And with time, the intent is to move on to platform as a service and software as a service, but that will take some time. But yes, we are at par with what the other players are offering in the market, as far as infrastructure as a service is concerned.

Akshat: Okay. Thank you.

Moderator: Thank you, sir. The next question is from the line of Pavas Pet hia from Aditya Birla MF. Please go ahead.

Pavas Pethia: Hi, sir. The first thing about this fund is 2,100 odd crores. How do you plan to deploy it among various verticals, say data center, residential? What is the game plan there?

Amit Sarin: This is purely data center, sir. This fund is going to be purely for data centers. For our real estate, we are completely funded with our internal sources. We do not need any money, sir. So, this fund will be mainly to get into the cloud business, sir, because thi s cloud business, fairly for the company, is new. But, you know, thanks to the co-location which the company created, which in terms of quality is one of the best which we were able to deliver.

So, that is what generated this demand for coming into data c enters also. And that's how we came into it. And now, today, we have successfully started 0.5, which is up and running now, sir. This is in two categories.

Ashim , can you explain the two categories, please?

Ashim Sarin: Basically, sir, what we've done is w e've started with a private cloud and almost 50% of whatever we've set up right now, and the remaining 50% is for a government community cloud, which actually qualifies as a sovereign cloud. Because after we started with our co -location business, we saw a lot of requirements from our clients coming in for cloud services where they wanted us to shift them from a capex model to an opex model. That is how we started building up our own cloud services.

And now, what we've launched is actually the first step be cause we were very cautious in our approach, and we've started with infrastructure as a service, where we are putting in the servers, we are putting in the routers, the firewalls, the switches. And basically, we are giving the

customers come on board, they set up their own virtual machines, and they are able to manage their operations on their own. And the complete infrastructure is maintained and operated by us.
Anant Raj Limited
October 30, 2024

Page 7 of 17

Amit Sarin: Most of the funds which we are going to be raising is co-location. We are up to 28, we are completely funded, we do not need any money. That real estate is taken care of. But now when we want to get into the cloud, we feel that 14 megawatt is going to convert into terabyte and megabyte. That's one thing. But can comfortably, as of now, can be consumed by the market. We do not see any demand problems there. So we want to invest this much to get into cloud, and this will make us one of the largest players in the country doing this.

Pavas Pethia: So just I missed that number. How is the conversion from, say, a megawatt cloud to crores of capex ?

Amit Sarin: Sir, crore of capex is about 100, sir. One megawatt and additional cost of 100 is required to convert one megawatt into clouds.

Pavas Pethia: Sure, and of this 0.5 megawatt?

Amit Sarin: We did it ourselves from our internal sources, and we got very good response for it, sir.

Pavas Pethia: So already the rentals are coming on this one?

Amit Sarin: The good part about cloud is that your rentals start from day one. Co-location, you know, things take time because the facilities are made, then you hand it over, then the servers start to come in. But this year, in this case, your revenues start from day one itself. So in this case, the revenues have actually started from 7th of October, sir. So as and when we multiply, we see good demand. We'll keep filling it up, sir.

Pavas Pethia: And on 100% utilization, this 0.5 megawatt translate to what revenue number?

Amit Sarin: So this 0.5 will actually generate close to INR 75 crores of revenue.

Management: Just to add one thing here sir. This cost that we are talking about cloud can go to any extent and this is only for the basic level services. As I said, infrastructure as a service. So the cost and revenues are for infrastructure as a service that we are talking about, but then we would want to move on to the next level also like platform as a service and then later on software as a service. So these numbers that we are talking about is only for the basic level of cloud which we've started operating now.

Amit Sarin : So the basic idea is these are basic numbers, sir. So they will only go higher once we keep on adding services, sir.

Pavas Pethia: And so on this 28 megawatt, which is supposed to come on by FY25 end how much is already tied up with clients?

Amit Sarin: Completely tied up, sir, fully tied up, sir. We will divert around 25% of this towards our cloud business, but then we will catch up very fast because the work will continue and by next year we will be almost 63 megawatts.

Pavas Pethia: And any private client which has come up so far?

Anant Raj Limited
October 30, 2024

Page 8 of 17

Amit Sarin: Already, sir. We've already started getting private clients. Sorry, there are NDAs in place. We can't take names and it's not even healthy to take names like this, but now today we have a mixture of all categories of clients.

Pavas Pethia: And sir just lastly on this 20 acres of land parcel you were talking about on the presentation there is some 11.5 acres. So is this the same thing which...

Amit Sarin: Sir, 11 is a part of that, yes and other than that we have another 9 which has already been done.

Pavas Pethia: So at what cost this has come up?

Manoj Goyal: So, see technically there are two kinds of acquisitions we did . One is a large portion one is a small portion which is stuck in between our township where the land cannot be independently used. So the land which cannot be independently used and is a small chunk of land that comes very cheap and the chunk of the land comes at a slightly higher price. So we spend about INR 20 crore s an acre if we translate it in the money terms, average for this.

Amit Sarin: Which is reasonable, very reasonable compared to today's prices , sir.

Pavas Pethia: Yes, and so it says that CTG properties, 100% equity shares which has a partnership interest . So this is not entire 11.35 which accrues to us. There's a partner, external partner also ?

Amit Sarin: There is because buying out the whole thing was not -- would have been too expensive. So there is a partner in this, but then all the development rights and everything will be done by the

company, sir.

Pavas Pethia: Okay, so this 20 crore s per acre is including the partnership share or how to see this number ?

Amit Sarin: So this is the money we have spent, sir. This is the money Anant Raj has spent for the land average cost to us.

Pavas Pethia: Development potential for this one?

Pankaj Gupta: So for the entire 20 acre, we'll be using majorly for the group housing and some components will go on the plotter which is part of the township. But looking at the current FSI norm, we'll have about 3 million square foot of the saleable area from the entire 20 acre.

Amit Sarin: This is subject to getting, this means that we've got the land, we are in the pipeline to get the permissions. And the future launches that we have this year, we haven't counted them in this.

This is for the next year.

Pavas Pethia: Okay, 3 million is the overall attributable share will be what number?

Management: This will be at the project level.

Pavas Pethia: I missed it. This will be for your component, 3 million square feet, your share?

Anant Raj Limited

October 30, 2024

Page 9 of 17

Pankaj Gupta: So at the project level, it will be 3 plus and we'll be having more than 2 million square feet. Otherwise we'll be marketing the entire thing. So only the share of that will go to the other partner. So typically 3 million will come to our balance sheet and it will go as 2 or 3 each year.

Pavas Pethia: Thanks. That's all from my side.

Moderator: Thank you. The next question is from the line of Raj Sarraf from Finvestors . Please go ahead.

Raj Sarraf: Congratulations for the excellent set of numbers. So the 6 megawatts started contributing to the EBITDA as mentioned in the opening remarks. Can you please quantify that for the last quarter?

Amit Sarin: Sorry, Raj ji can you repeat your voice is getting blurred, sir.

Raj Sarraf: So the 6 megawatt data center capacity has started contributing to the EBITDA as you said in the opening remarks. So can you please quantify that for the last quarter?

Amit Sarin: So that was about INR 8 crores. It has contributed.

Raj Sarraf: It is in last quarter, sir contributed already INR8 crores?

Amit Sarin: Yes, sir.

Raj Sarraf: And, sir, you just covered in the first question that 14 megawatt out of 63 megawatt will be of cloud by FY26. So maybe know the difference in EBITDA potential between the on-premise, the colo and the cloud -based?

Amit Sarin: So the basic difference when you come into the cloud business , one is talking like Mr. Ashim just explained to I'm sure you've been listening to the whole call. Like Mr. Ashim just explained that we are as of now we are just giving it as infrastructure as a service. So here the total top line one is able to achieve in terms of megawatts per year is close to about INR 150 crores.

Raj Sarraf: Okay, so like cloud-enabled.

Amit Sarin: Exactly. So whatever additional services once we provide them, we'll talk about them. Hopefully in the next call, we will be talking about that as well, but as of now when we only talk about infrastructure as a service, we are talking about a billing amount of INR 150 crores per year.

Raj Sarraf: Okay. And, sir, one request sir. Going forward, we will have data center revenue as a major contributor. So can we have revenue bifurcation in our investor presentation separately from real estate and data center or in the quarterly results as a significant revenue. We will have more clarity to what are shareholders

?

Amit Sarin: See, real estate will continue the way it is going on. All the information is already on the website of the upcoming projects. So real estate, if we talk about this year sir, we are going to be launching 1.8 million square feet. We are fully on track for that. So that is all on the decided dates. It will all happen. So real estate is going to contribute a good amount of money for the next one or two years. And slowly, slowly data center will catch up and eventually, both the divisions are going to do very well.

Anant Raj Limited

October 30, 2024

Page 10 of 17

So Anant Raj Limited will now have two full-fledged divisions. Real estate division which is the historical, the division of the company, the bread and butter of the company as of now and plus the technology division, in which we will be data center, co-location infrastructure and cloud. We'll have both. So slowly 63 next year, 25% of 63 will be towards cloud and the balance will be co-location.

See, co-location is something which we understand very well now, sir. And the project which we have delivered is one of the best products which anywhere in the world, one can do. And that is what has got appreciated and opened up the window of cloud also for us. And while we were

dealing with our clients, they said that why don't you give this in infrastructure also as a service and that's how we ventured out into this.

Raj Sarraf: My request is that if we can have the revenue contribution separately in the investor presentation, so that we should not disturb you in the conference call, that's why, sir?

Amit Sarin: Sir, we have shared with you the per -megawatt thing and the company cannot give future numbers like this, I think.

Raj Sarraf: No. Sir, this was for the concluding quarter I like that we have now investor presentation. My first question was to ask you what was the revenue contribution last quarter. If it had been reflected in the presentation this question was not there with you, the concluded quarter, what was the revenue contribution for the data center that is only my request?

Amit Sarin: The point has been taken. What you are requesting is to split the real estate and data.

Management: Yes, sir because the data center would be the major contributor going forward, sir.

Amit Sarin: Sir, both the revenues are going to be substantial and we will be breaking them up, sir. We will do that definitely.

Raj Sarraf: Thank you very much, sir. And if you allow me to ask one more question, then it will be helpful.

Amit Sarin: Please sir.

Raj Sarraf: Sir, what is the planned timeline we have for 100-acre land in Delhi NCR for future residential and warehousing with revenue opportunity?

Amit Sarin: Sir, Delhi total land which we have is 101 acres, which, you know, as per the present master plan, is eligible for all categories. It is eligible for residential. It is for hotels, service apartments, commercial, retail, and warehousing. But Delhi is one plan which we, as of now, hold, and we want to actually wait. As you know, Delhi is expecting a new master plan, and it is public knowledge. The draft master plan is already available on Janta Book Depot. It's a book anybody can buy. It is yet to be notified.

So let us see when it is notified. And as of now, sir, we have enough work vis-a-vis 63-A Gurgaon, and the data center, and now the cloud. So, the focus for the next four years is very clear in the company. We will focus on 63-A because we feel that there is a huge top line with the real estate that the company can unlock there. And data center, of course, this is a sunrise

Anant Raj Limited

October 30, 2024

Page 11 of 17

industry in the country. And Anant Raj being one of the first movers in this, we started work in data center in the year 2019, sir.

We got our certifications from international bodies. We today have all those things in place. And

the product which we have delivered is easily comparable to one of the best products anywhere in the world. So, for the next four years, this is our focus, sir. Delhi, we fully own 101 acres, completely, no dispute whatsoever, 100% in possession of the company. The draft master plan, we want to wait for it to get notified. And that is when we start Delhi.

Raj Shah: Yeah, thank you. Very helpful, sir. And I wish you all the best and happy Diwali. And once again, congratulations on the great set of numbers. And I wish that Anant Raj should get greater heights in the future. Thank you very much.

Amit Sarin: Thank you, sir. Really appreciate your good wishes.

Moderator: Thank you, sir. The next question is from the line of Ruchita from iWealth. Please go ahead.

Ruchita: Hello, sir. Good evening. And congratulations on a good set of numbers. Sorry if I'm repeating the question again. So, my question is mainly on the cloud business. So we are talking about 14 megawatts, which will be coming, going ahead. So this is expected by which quarter? And what is the EBITDA per megawatt that we are expecting for this?

Amit Sarin: Ruchita, like we just said, once we achieve 63, which is in the year March 26. Okay? In that, 14 will be cloud. And as we ramp up, as of now, we have 0.5, which is working. And by the end of this financial year, we feel we will have at least four in this category, of the cloud category. And here, like we just said, that the investment is about, actually, this is may be not the right term, but

for easier for all of us to understand, is that when we talk about megawatts, we spend about 100 megawatts (corrected: 100 crores per megawatt) to give cloud as an infrastructure service. We spend about INR 100 crores per megawatt. And in these INR 100 crores, we build about 150.

Number one, the expense, because, when you do co-location, electricity, and all are pass-throughs. Here, you have to pay for all that. So we are talking about a running cost of about INR2 crores per month, which is INR24 crores. So your EBITDA is about INR 126 crores. So INR150 crores minus INR24 crores is your EBITDA in this situation.

Ruchita: Okay, understood, very clear. And if we can just quantify this quarter for the co-location business, what is the kind of profit that we did, the EBITDA?

Pankaj Gupta: In this quarter, we have done INR8 crores revenue and the operational expenses is around 18%. So, it is around 82%.

Ruchita: And last quarter, what was the revenue for the same?

Pankaj Gupta: The same I NR8 crores
Ruchita: Understood. Thank you so much.
Anant Raj Limited
October 30, 2024

Page 12 of 17

Moderator: Thank you, ma'am. The next question is from the line of Prateek Singh from DAM Capital.
Please go ahead.

Prateek Singh: Hi, sir. Thanks for the opportunity and congrats for the set of numbers. Great, great, sir. So just to get this clarity here, you said that around 100 crores per megawatt of capex per megawatt in cloud, these INR 100 crores is on top of the co-location capex, right? Which is around INR 25 crores to INR30 crores for us.

Amit Sarin: Yes, sir. The co -location is INR 26 crores and an additional INR 100 crores , sir.

Prateek Singh: Got it, sir. So mainly, capex would be the servers, right? The ones you install there.

Ashim Sarin: So this cost is mainly for your servers, your other hardware like your switches, firewalls, and also the software cost and the license cost, that comes in.

Prateek Singh: That's good, sir. So, on an operational basis, would we be paying any kind of fee to Orange or how is this partnership like in terms of economics of this deal?

Ashim Sarin: It is based on the revenue. There is a fixed amount and then it is based on the revenue the company generates.

Amit Sarin: But sir, Orange is only entitled to the technical fees because we actually are going to be owning

all the equipment, sir. We are buying everything from them and they are going to be running it technically. So they will only get the technical fees which is actually passed forward.

Prateek Singh: Okay. Understood, sir. And sir, when we talk about these servers, I understand that their life in terms of depreciation is only three to four years. Is that correct, that how quickly we need to depreciate them when we make a model?

Ashim Sarin: Normal life would be five years. They can go beyond also. But normal life of a server is five years. And then with the technology changes and all, they can always be upgraded as and when required.

Prateek Singh: Yes, sir. And sir, you said that as of now with the 0.5 megawatt you did 50% of it was private and 50% was government. So, do you want to maintain the same kind of a share when you go to 14 megawatt or do you think government would be more in that and are the economics different for private versus government?

Amit Sarin: Sir, economics more or less are the same and now we feel that we are getting a good demand from both side. We are not able to fulfil the demand which we have. So this choice, whoever is coming, sir, we are providing and, in fact, we are getting more demand. As we go forward, sir, with 14, we do not see an issue at all of choosing as to who to give and who not to give. Right now, whoever is coming, we are giving and there is enough demand, sir. So it is actually first come first serve. Who comes in first, we give him first.

Prateek Singh: Understood. And maybe I missed this comment. What was the status about the group housing launch? Sir, when are we looking to launch it?

Anant Raj Limited
October 30, 2024

Page 13 of 17

Amit Sarin: Fully on track , we will do it in January.

Prateek Singh: In January. Okay. Understood, sir. Thank you, sir.

Amit Sarin: There was an election, so there was a code of conduct. So that is all done now. So Haryana, as you know, went in for elections. It is all done. So now things are back on track. So we will do it in January.

Prateek Singh: Okay. Understood. Great, sir. Thanks a lot for taking the time. Thank you.

Moderator: Thank you, sir. The next question is from the line of Hardik Gandhi from HPMG Shares and Securities Pvt. Ltd. Please go ahead.

Hardik Gandhi: Congratulations on a good set of numbers, sir. Sir, I just wanted to know, first thing is that what would be the rental income which is there in the last quarter? Not the data centers, just the property.

Amit Sarin: Other than the data center, INR 12.5 crores.

Hardik Gandhi: And going forward, I do understand that although we are looking to expand into data center and we are going to sell properties, but are we going to also have a significant number of properties just for rental so that there is a perpetuity rental income coming in?

Amit Sarin: Absolutely, Hardikji. As you know, two years from now the company actually did some commercial deals also. But as per the basic policy of the company, we are always very happy leasing out commercial stuff. And touch wood now with the finances all back in place and

looking good, we are back to our old policy wherein we will develop commercial and only lease it out. So you will see decent increase. Although as of now the first focus of the company is data centers and cloud, but simultaneously we are working on some commercial buildings and these commercial buildings now will be purely focused on leasing out.

Hardik Gandhi: Understood. And what kind of revenue are we looking at just from leasing going forward? I know it's difficult to... Any ballpark number would suffice because those...

Amit Sarin: Coming two years, the commercial revenue will at least, although future numbers we should not be giving like this, but the revenues from here will at least go close to two and a half to three times.

Hardik Gandhi: Understood. And what are the current numbers, if I may ask?

Amit Sarin: We just told you, sir, 12.5.

Hardik Gandhi: Okay, sir. I thought it was just for the quarter. Or is it the annual?

Amit Sarin: This is for the quarter, sir. For the quarter only.

Hardik Gandhi: Annually it's roughly...

Anant Raj Limited

October 30, 2024

Page 14 of 17

Amit Sarin: Sir, at least the projects that have been put in the pipeline, coming two years from now, we should comfortably triple this.

Hardik Gandhi: Yeah, that's it from my side. All the best to you guys. Thank you.

Amit Sarin: Thank you very much.

Moderator: Thank you, sir. The next question is from the line of Rashid Parekh from Excel Securities. Please go ahead.

Amit Sarin: Namaskar, Rashid ji.

Rashid Parekh: Hi. Just a quick question. How soon are we looking at this raise of INR 2,000 crores, the QIP?

Amit Sarin: Sir, we've taken the enabling resolution. And, as you know, the process will be done. The EGM will be held and all those things, subject to once approved by the Board. And, sir, we are let's see when we go to the market. As of now, we are comfortable on cash, sir. The company is sitting on a decent amount of cash.

So no work is going to stop. So we will see as and when, when we -- because this money is purely for data centers. And now we are doing, we are in the process of placing more orders for which the earnest money we can deposit from our own sources. So as and when we do that, we will go in for the raise, sir.

Rashid Parekh: Yeah, that's it. That's it from me.

Amit Sarin: Sure, sir. Thank you.

Moderator: Thank you, sir. The next question is from the line of Srigopal Bajaj from Stockhifi Advisory Services Private Limited. Please go ahead.

Srigopal Bajaj: So this is regarding a court matter. Which was last October 26, an article came out which said that the Gurugram court has halted 12-acre residential project. Is it true?

Amit Sarin: Sir, that article, we have written to the newspaper. Also, it is getting rectified, sir. Sir, it was a falsely reported news. The total land involved in that article is only 1,000 square yards, sir. And that also, sir, as you have asked, so we would, thanks for asking, sir, we would actually like to clarify this. The total 1,000 square yards, sir.

Obviously what happens in this is, there is a distribution, which is done in our land. So this person, actually the distribution is done by -- in front of the government authorities. And this -- actually the distribution was done, our license was granted, no license of the company has been cancelled, sir. You can take that on record, sir.

No license whatsoever has been cancelled. Only 1,000 square yards has been said that the company should not create any third-party right, which the company as it is not going to do, sir.

That's it, sir. No license whatsoever, the 12-acres has been cancelled. One is that, it's written return sector 65. We have no land in 65. Number one.

Anant Raj Limited

October 30, 2024

Page 15 of 17

And in this order only 1000 square yards. Right now creation of third party right has been denied.

That's it sir. Nothing else.

Srigopal Bajaj: Sir, you said INR 2,100 crores that you are raising for QIP, out of this, all goes to data center for 35 megawatts, right?

Amit Sarin: Sir, 35 and so on, sir. Although it will be completed in 35, but the internal accruals will be so much that there will be no need of money, sir.

Srigopal Bajaj: Yes, sir. In 35, 14 megawatts.

Amit Sarin: Sir, in 35, 14 will come in cloud , sir.

Srigopal Bajaj: So, INR1,400 crores for that and INR700 crores for the rest 2 1 megawatts.

Amit Sarin: Exactly, sir.

Srigopal Bajaj: Right. Thank you, sir. I'll come back in the queue .

Amit Sarin: Sir, touch wood , God willing, sir, once you have done this, You see, whatever projections you have with your 307, you will complet

e them with 64, sir .

Srigopal Bajaj: Okay. Yes. I'll come back in the queue , sir. Thank you.

Amit Sarin: Thank you, sir. Thank you.

Moderator: Thank you, sir. The next question is from the line of Jeewan Garg . Please go ahead, sir.

Jeewan Garg: Thank you very much. Sir, this also, sir, like Godrej and some other real estate player , if they want to come in to the data centre, then what is our USP while they all come in here?

Amit Sarin: Sir, see sir, it is a free country, sir. Anybody can co me into any business, number one. But, sir, the thing is that buildings are built with special strength for data centres, sir. It is okay sir. A nd like we mentioned, that Anant Raj has started this in 2019. So if anyone starts today, it will take them that much time to reach where we are, sir.

Jeewan Garg: Okay, so you mean to say if any new entrants come s, it takes around 3- 5 years to come into the profits. Am I right?

Amit Sarin: Easily sir. If someone identifies the land, then they will take approvals, b uild the buildings. And the buildings of the data center are in a very different strength category compared to other buildings sir. And this is something that Anant Raj, which we know, we spent and we did everything. So, which in every building is not possible.

So, most of the people who are trying to come in this, who are making brand new. So, whatever time it will take them, in which 3 to 4 years time will take minimum. Maybe more.

Jeewan Garg: Any entry barrier . Just like anything from the government – licensing which can be a entry barrier sir?

Anant Raj Limited

October 30, 202 4

Page 16 of 17

Amit Sarin: Fortunately, sir, India, touchwood, last decade, India has seen a lot of freedom in terms of working. You have seen India's ranking, how much it has gone up. So, there is no such entry barrier from the government. But yes, sir, these are technical things. And, you know, these technical things you can only understand when you do them, sir.

Today, in Anant Raj, which we started in 2019 and which we have mastered today - one is, t he product which we have delivered is, quality wise, easily comparable to anywhere in the world.

So, these things matter a lot, sir. And you can see our website separately, we have mentioned all the partners who we have with us.

So, these things are something which, you know , cannot happen overnight. So, I am not saying nobody else, that somebody else cannot do it. But if someone else does it, it will take a lot of time, sir. And this is what Anant Raj has today, that today we are amongst the few people who have all these cat egories with us.

Jeewan Garg: Sir, any listed player, competitor of ours, whom we can compare our things with that?

Amit Sarin: Sir, I think one should, sir, we have given our product, we are completely sold out of what we have delivered. And we are very -- we see a very good demand of what we are going to be delivering in future also. So, we are comfortable, sir, with what we are doing. So, as I said, to take somebody else's name is not proper in the conference call like this.

But we are good, sir. As of now, the product which we have delivered, it is completely done. And whatever we have in the pipeline, we have enough demand for it, sir. In fact, more than enough.

Jeewan Garg: Okay, thank you very much and great set of numbers. Thank you, sir. All the be st.

Amit Sarin: Thank you.

Moderator: Thank you, sir. The next question is from the line of Prateek Singh from DAM Capital. Please go ahead.

Prateek Singh: Hi. Sir. Thanks for the opportunity again. So, just a bit of this clarity. So, when we say that we recognize the revenue of INR 8 crores for data centers this quarter, the same was there last quarter, on a 6 megawatt run rate, this number should be higher, right? This doesn't mean that we are...

Amit Sarin: The second one has just g ot handed over to the

various clients. The second one has just got

handed over. So, in this quarter, you will see that increase coming in, sir.

Prateek Singh: Okay, understood...

Amit Sarin: Like we were saying, Prateek Ji what happens is when you do cloud, your revenue starts from day one. But when you do co-location, there is a lead time, sir, which is like handing over, taking

over type situation. So, in this quarter, it will run completely, sir.
Prateek Singh: Okay, sir. Okay. Thank you.
Anant Raj Limited
October 30, 2024

Page 17 of 17

Moderator: Thank you, sir. The next question is from the line of Prakash Shandilya from an Individual Investor. Please go ahead.

Prakash Shandilya : Very good evening.

Amit Sarin: Good evening, Prakash. Ji. Namaskar.

Prakash Shandilya : Thanks, sir, for giving me the opportunity, sir. First of all, I want to congratulate to posting on superlative Q2 results, sir. My question regarding cloud service adoption, sir. As I have gone through the presentation, sir, cloud service as an infrastructure, as a service, operational ized, working on scaling to platform as a service and plan to expand the software as a in future, sir. Can you give me the, in which year we are, can do this plan, sir?

Amit Sarin: Ashim ji will tell you, sir, please.

Ashim Sarin: So, infrastructure as a s ervice is already operational. In fact, we have already started work on going to the next phase. So, it is on the drawing board right now. Because when you create cloud, it can actually go to any limit. It is infinite. So, you just have to keep on adding m ore and more services.

And the other thing that we want to add here is, sir, that this actually compliments the co-location business also. Because many of the co -location customers would be using some of our cloud services that we will be offering. So, bo th the businesses, both of these will actually complement each other also . And platform as a service, we have already started work on it, sir. So, once we complete our study and are able to finalize our roadmap, then we will be going ahead with those also.

Prakash Shandilya : Thank you very much, sir. This was only the question. And best of luck for the future, sir.

Ashim Sarin: Thank you, Prakash.

Moderator: Thank you, sir. That was the last question for today. I now hand the conference over to the management for closing comments.

Amit Sarin: We would like to thank everyone for taking out the time, especially in the festival time. And we assure you that the company in the past three years has done growth quarter -on-quarter. We are very confident that we will continue this for the coming quarters as well. And data center and real estate is something that the company is always doing. The new thing which the company has added to its portfolio is the cloud services. And we are very robust on this.

And the product which we have delivered is easily comparable to any product in the world in terms of quality. We assure you that the company will continue the growth process. And we thank all of you for supporting the company always and giving your good wishes. Thank you once again. And a very happy Diwali to everyone. Thank you. Thank you everyone. Happy Diwali.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

Anant Raj Limited
CIN: L45400HR1985PLC021622
Head Off : H-65, Connaught Circus, New Delhi -110 001
Tel : 011- 43034400, 23324127, 23323880
Email : info@anantrajlimited.com Website : www.anantrajlimited.com
Regd. Office : CP -1, Sector -8, IMT Manesar, Haryana- 122051
Tel : (0124) 4265817

ARL/CS/ 13535 November 19, 2025
The Secretary,
The National Stock Exchange of
India Limited,
"Exchange Plaza", 5th Floor,
Plot No. C/1, G -Block, Bandra – Kurla
Complex, Bandra (E), Mumbai -400051

Scrip code: ANANTRAJ The Manager
Listing Department
The BSE Limited,
Phiroze Jee Bhoy Towers,
Dalal Street, Mumbai – 400001

Scrip code: 515055

Sub: Transcript of Earnings Call for the quarter and half year ended September
30, 2025
Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015
Dear Sir,

In continuation to our intimation dated November 7, 2025, please find enclosed a transcript
of the Earnings Call held on November 12, 2025, for the quarter and half year ended
September 30, 2025.

The transcript is also available on the Company's website at www.anantrajlimited.com.

Kindly take the above intimation on your records.

Thanking you.
For Anant Raj Limited

Neeraj Kumar
Company Secretary
A55302
Encl: as above

Page 1 of 24

"Anant Raj Limited Q2 & H1 FY '26 Earnings
Conference Call"

November 12, 2025

MANAGEMENT : MR. AMIT SARIN – MANAGING DIRECTOR , ANANT RAJ LIMITED

MR. ASHIM SARIN – WHOLE -TIME DIRECTOR AND CHIEF OPERATING OFFICER , ANANT RAJ LIMITED

MR. PANKAJ GUPTA – CHIEF FINANCIAL OFFICER , ANANT RAJ LIMITED

MR. MANOJ GOYAL – CHIEF BUSINESS OFFICER , ANANT RAJ LIMITED

MODERATOR : MR. PRATHAMESH PARAB – MUFG INTIME INDIA PRIVATE LIMITED

Anant Raj Limited
November 12, 2025

Page 2 of 24

Moderator : Ladies and gentlemen, good day and welcome to the Anant Raj Limited Q2 & H1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prathamesh Parab from MUFG In time India Private Limited. Thank you and over to you, sir.

Prathamesh Parab : Thank you , Arsh i. Good afternoon everyone and welcome to the Q2 & H1 FY '26 Earnings call of Anant Raj Limited.

From the management, today we have with us Mr. Amit Sar in - Managing Director ; Mr. Pankaj Gupta - Chief Financial Officer ; Mr. Manoj Goyal - Chief Business Officer; Mr. Ashim Sarin – Whole -Time Director and Chief Operating Officer.

Before we proceed with this call, I would like to give a small disclaimer that this conference call may contain certain forward -looking statement which are based on beliefs, opinions and expectations of the company as of date. A detailed disclaimer has also been given on the company's investor presentation which has been uploaded on the stock exchanges. I hope you all had a chance to go through the same .

Now, I would like to hand over the call to Mr. Amit Sarin for his opening remarks. Over to you, sir.

Amit Sarin : Thank you very much. Namaskar, everyone and we would like to welcome everybody and thank everybody for joining us for this earnings call. We are very happy to inform you that we have been able to deliver yet another very robust quarter.

One main highlight which we are very proud of is that the fifth quarter in a row, even prior to the QIP which the company has successfully done, fifth quarter in a row, the net debt of the company has been below 50 crores. So, we almost call ourselves a zero -debt company and we maintain that for the future also.

Now, just to give you a main highlights of the year which has gone past by and the first and the 2nd Quarter , our estimates for the topline for last year were about INR 1,800-INR 1,900 crores and a PAT of INR 370-INR 390 crores . We are very proud to share that we have been able to do INR 2,100 crores of topline and a PAT of 425 crores for the year ending 31st March 25. And in this year, the first 2 quarters, the company has already done INR 1,243 crores of revenue and a Anant Raj Limited

November 12, 2025

Page 3 of 24

PAT of INR 264 crores. The main highlight for us today has been that we have been able to deliver the 28 megawatt which the company was working on in the 2nd Quarter .

On 1st and the 2nd of August this year, the company did showcase of the 28 megawatt which we delivered , we call it Bharat Built from soil to server where we showcase to a lot of investors and analysts. We invited them for 2 days to come and we showcase this. We are thankful to everybody who was able to come in and it was very encouraging for the company. So, that is done. Now the company as you must be all aware that the company in October last year started with its own Cloud called Ashok Cloud which was named after our F ounder Chairman Shri

Ashok Sarin and we are a sovereign Cloud of the country and initially we start with B2B and that is successfully being launched and is getting very good response in the market. Other than that, prior to doing the Bharat Built from soil to server, the company at that time, the promoters were issued warrants of INR 100 crores for which the promoters were supposed to convert by September '26. Actually, the promoters put in the money in March '25 itself and that additional cash flow of INR 100 crores really helped the company and we converted our share warrants

at a price of INR 730 done. The money came into the company and that got used in the Data Center business and we successfully did our soil to server day. So, Data Center wise, we are now on track and we are now fully funded and we are taking this to the next level which is 63 megawatts and which will be now operational by December '26. That is vis-a-vis the Data Center.

Real estate wise, we are fully on track with the launches which we had planned. For this year, we had planned almost 2.6 million square feet of launches and we are fully on track with that. And today, the company, in fact, we informed the stock exchanges also and most of you would have read it there. For 6.075 acres, the company has already received its RERA for the floor which is going to be launching which is 5 lakh square feet. For 5.8 acres, we have got our Group Housing, LOI we have already got and we have got the advance set of approvals which is for 1.1 million square feet and we have already filed a Group Housing application of 5.21 acres which is going to be again 1.1 million square feet which we are going to be, which we expect the license to come in Q4. So, vis-a-vis this also, the company is fully on track. The company also successfully completed its QIP of INR 1,100 crores which is done.

Other than that, in commercial, the company has started working on 2 major projects. The first one is in 63A which is Ashok Towers. The work has already started and the second one is our first endeavor in Delhi now. Prior to that, we were always focusing in Haryana. So, now in Delhi, we have already started with our first development which is 7 lakh square feet and the first phase of this development, this is a combination of commercial, service apartments and hotels and the first phase will be completed by FY '28. So, vis-a-vis the projects, vis-a-vis the Data Centers, we are fully on track. Funding-wise, the company is now a net zero-debt company, a surplus cash company and we are fully on track.

Anant Raj Limited
November 12, 2025

Page 4 of 24

Now, I will request the CFO to take you through the results, please. Mr. Pankaj.

Pankaj Gupta : Thank you very much, sir. Good afternoon everyone and thank you for your precious time you have spared for us to attend the call. We are delighted to report that our performance this quarter and first half had again demonstrated our commitment for a strong financial growth.

Moving to our financial highlights for Q2 FY '26:

Revenue from operation stood at INR 630.79 crore, up 23% year-on-year. This includes revenue from Data Center infrastructure and allied services stood at INR 35.47 crore. EBITDA stood at INR 177.94 crore, up 43.85% year-on-year and EBITDA margin for quarter stood at 27.76%, up year-on-year from 23.62%. PAT grew by 30.79% year-on-year to INR 138.18 crores and PAT margin for quarter stood at 21.56%, up year-on-year from 20.17%.

Now, update for H1 FY '26:

Revenue from operation grew by 24.22% year-on-year to INR 1,223.2 crores. This includes revenue from Data Centers at INR 58.42 crores. EBITDA stood at INR 338.58 crores, which is up 43.17% year-on-year and EBITDA margin stood at 27.23%, up year-on-year from 23.52%. PAT grew by 34.28% year-on-year to INR 264.08 crores and PAT margin stood at 21.24%, up year-on-year from 19.56%. On the balance sheet side, we have made significant progress in the strengthening of our financial position. During this quarter, we successfully completed QIP of INR 1,100 crores. Additionally, the company is now net cash positive and we have prepaid INR 125 crores of debt.

We did Data Center expansion and added second Data Center facility at Panchkula with the capacity of 7 MW IT load and Manesar facility enhanced from 6 MW IT load to 21 MW IT load capacity. Company has commenced the development of additional 35 MW capacity of Data Center. We have commenced the development

of Data Center at Rai, Sonapat also. Initially, we are developing 20 MW IT load at this location. The total planned capacity at Rai is 200 MW IT load.

In real estate, we have planned to launch another Group Housing project in this financial year in Q4. Company has received further approval and is currently in advanced stage of launching the luxury high-rise project named The Estate One in Sector 63A, Gurugram. The Estate One will be developed on 5.1 acres of land area having approximately 1.1 million square feet of saleable area. Company has commenced Phase -IV of Anant Raj Estate also in this quarter and having an

additional project area of 6.075 acres with the potential development of approximately 5 lakh square feet. This will add value to the E state Apartment and E state Floor. The approval of another Group Housing project over 5.21 acres is in progress as per the schedule and is expected

Anant Raj Limited
November 12, 2025

Page 5 of 24

to receive permissions by the end of this financial year. Company plans to launch the third luxury Group Housing residential project in FY '27.

Anant Raj Limited stands at an important inflection point. Our legacy real estate business continues to deliver a consistent growth and strengthen our leadership in high demanding markets. At the same time, our Data Center and Cloud initiatives are shaping up the future ready platform that positions us as a diversified resilient enterprise. The progress we have made this quarter both operationally and financially reflects the disciplined execution, strategic investment, and a clear vision of sustainable growth. With a strong balance sheet, reverse cash flow, and healthy pipeline of projects, we are confident in our ability to create our long-term value for all stakeholders.

Thank you. Now, we are opening the floor for Q&A.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first question is from the line of Mr. Akash Gupta from Nomura. Please go ahead.

Akash Gupta : Congrats on a good set of results. Sir, my first question is with respect to your Data Center target.

So, I wanted to understand what is our Cloud target for FY '27 and FY '28? And my second question is, how are we looking at the Data Center revenue scale-up in FY '27 and FY '28?

Amit Sarin : Akash ji, like we just said, this by vis-a-vis Data Center by December '26, we are going to be 63 megawatts. So, this 28 megawatts will go to 63 megawatts. Now, the breakup in the 63 megawatts will be that 49 megawatts is going to be purely Colocation and 6 megawatts as of now will be Cloud and 8 megawatts we are going to keep vacant. As and when we are able to scale up, we will scale up this 8 megawatts and take the Cloud to 14 megawatts. So, the breakup with 63 megawatts will be 49 megawatts and 14 megawatts. But till December, we are commenting that we are going to have about 6 megawatts up and running.

Akash Gupta : And what about FY '28?

Amit Sarin : FY '28, this will jump to 117 megawatts. And in this 117 megawatts, 87 megawatts is going to be Colocation and 36 megawatts is going to be Cloud. And out of 36 megawatts, 14 megawatts will be up and running and 16 megawatts, we are keeping a provision to increase the Cloud.

Akash Gupta : Got it. And how are we looking at the scale-up in the Data Center revenues?

Amit Sarin : The Data Center revenues are fully on track. As we have now started reporting the numbers, you must have noticed yourself. We are now at INR 58 crores and we are fully on track vis-a-vis the targets we had set for ourselves for this year and next year. So, Data Center revenues will really start to pitch in. So, it is going to be something very similar to what you saw in Anant Raj 4 – 4

Anant Raj Limited
November 12, 2025

Page 6 of 24

and half years back when the complete turnover of Anant Raj was 200 crores.

And from there, you have seen up to Q2, we have already done 1200 crores and something. So, we are fully on track with that.

Akash Gupta : Understood, sir. And sir, my second question is with respect to your demand for Cloud. We are probably doing roughly 2 megawatts of Cloud by this year end. How confident are we that we will be able to utilize this additional 4 megawatts of Cloud? Do we have any demand visibility or are we like looking at any new contracts with any government or something, if you could give some visibility on that? Visibility for the cloud segment.

Amit Sarin : Sir, we have enough demand right now. There is no problem vis-a-vis the demand. The bottleneck till we had done the QIP was the funds. Fortunately, we have that now. So, demand as of now is not a challenge. As you must have noticed in the call when we mentioned, so we are a sovereign Cloud of the country, Ashok Cloud is a sovereign Cloud and today's sovereign Cloud has a very niche demand for itself. And this demand is only growing, sir. And with the laws coming in place, as we know that Data Protection Act, we are all talking about Data Protection and other laws and all which are going to be coming in and rightly so. All major countries today have their Data Protection Act and all and very soon India will also have it. So, these things will only multiply, sir. So, we have enough demand, sir. Demand, we do not see as a challenge at all, sir. And today, we have a lot of e-commerce companies and all which are coming to us, which we are already there, sir. We are cost effective also, sir. Today, compared to the market, we are almost at 50% cost and even then our margins are pretty good. So, we are on track, sir.

Akash Gupta : Got it, sir. Thanks a lot.

Amit Sarin : Thank you.

Moderator : Thank you. The next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma : Thank you very much for the opportunity and congratulations for a great set of numbers.

Amit Sarin : Hi, Ashwani. Thank you very much.

Ashwani Sharma : Hi. Thank you very much, sir. Sir, first just a bookkeeping question before I jump on other questions. So, what was the absolute EBITDA and PAT from Data Center for Q2 and H1?

Pankaj Gupta : So, EBITDA for H1 is 75% and PAT is 43.23%.

Ashwani Sharma : So, this one for H1, right?

Anant Raj Limited

November 12, 2025

Page 7 of 24

Pankaj Gupta : Yes, sir.

Ashwani Sharma : Thank you very much. Also, if you can help me with the kind of occupancy rate for Colo and Cloud both for H1?

Pankaj Gupta : So, sir, in H1, we have given 8 megawatts of Colocation, completely handover. Rest is on the handing over process. And in Cloud, it is around 70%.

Ashwani Sharma : So, you said Colo is 80% and Cloud is 70%. Am I right?

Amit Sarin : No, sir. Colo is 8 megawatts, which is fully handed over. And Cloud is 0.5 megawatt, which is fully hand ed over. That is the number which we are now, which include the revenue which we have achieved.

Ashwani Sharma : Cloud is 8 megawatts. Perfectly fine. Also, sir, lastly, if you can just talk about what is the mix in terms of clients as of now private and public. So, initially, we had three clients, RailTel, TCL, CAC and you have added one more, which is a private client. Is there any addition to that or?

Amit Sarin : So, there is a lot of addition in clients, sir, but we are sorry, we cannot disclose the name of the clients as there is NDA and all which are in place. But the mix, if you see, as of now, vis-a-vis Colocation, we are about 75% government and 25% private and in Cloud, we are 50 -50.

Ashwani Sharma : And just one more question. So, what is the current capital employed in the Data Center business as of now?

Pankaj Gupta : As of now, in this half INR 187 crores we have added.

Ashwani Sharma : INR 187 crores we have added in, and that takes to us to how much?

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Amit Sarin : It takes it to about INR 700 crores, sir.

Ashwani Sharma : INR 700 crores. All right. Thank you very much, sir. I will come back for more questions.

Amit Sarin : Thank you.

Moderator : Thank you. The next question is from the line of Mr. Abhishek from Motilal Oswal. Please go ahead.

Abhishek: Yes. Good evening, sir.

Amit Sarin : Namaskar, Abhishek ji. Good evening.

Anant Raj Limited

November 12, 2025

Page 8 of 24

Abhishek: Thank you, sir. So, just one question. We have heard about the taxation benefit on DC business, right? And just want to understand how is it accretive to Colocation as well as Cloud business and any change in CAPEX strategy pertaining to that?

Amit Sarin : It is a very welcome step, sir. It is going to be really encouraging. And it is applicable to both, sir, Colocation as well as Cloud. So, as and when it comes, we are very hopeful that it is going to come because this is an initiative which the government has taken on its own. This is really encouraging for the Data Center segment in the country and as it is, the segment really has to grow. So, this is really encouraging. And to answer your specific question, we have both the aspects, Colocation as well as Cloud because they are both directly Data Center's is covered.

Abhishek: So, basically, we are not changing that 75 -25 mix of Colocation to Cloud CAPEX strategy?

Amit Sarin : As of now, let us grow with this. And tomorrow, once the Colocation is already there and we see enough demand and touchwood, the cash flows from next year will really start improving and contributing. So, we can always increase the Cloud part. And as it is, there is very good demand, sir. So, as of now, we maintain this ratio, sir, but this ratio actually, Cloud can also increase, will increase in fact.

Abhishek: So, currently, basically, it is just proposed, not in the issue, right?

Amit Sarin : So, proposed and that is how it is getting implemented also, sir. If you really see, in 28 megawatts, 4 megawatts is going to be Cloud, 24 megawatts is Colocation, then in 63 megawatts, 14 megawatts is Cloud, balance is Colocation. So, this is how it is going. But once you have the Colocation in place, sir, you can always convert your Colocation and take it to Cloud.

Abhishek: No, I am just talking about the taxation part, which is just proposed, not in effect right now?

Amit Sarin : No, not in effect. This is something which the government initiated and as we all read about it.

And this was a statement made by the government that they are thinking on these lines. Let us hope and if the government is saying it, they will definitely do it, sir.

Abhishek: Thanks, sir.

Amit Sarin : Thank you.

Moderator : Thank you. The next question is from the line of Mr. Harsh from Emkay Global. Please go ahead.

Harsh : Hi, sir. Good evening and thanks for the opportunity.

Amit Sarin : Hi, Namaskar .

Anant Raj Limited

November 12, 2025

Page 9 of 24

Harsh : Namaskar, sir. Sir, my question is on the real estate front. So, it is encouraging to see that we have moved very ahead in terms of approvals. We have received RERA for the E state Floors and Group Housing we are in the advanced stage. So, since all these three will be coming in the same quarter, how are we ensuring that there is no cannibalization? How are we differentiating with the products? And if you can throw some light on that, please ?

Manoj Goyal : Yes, this is Manoj Goyal. See, we have informed that we will be doing 3 projects. One is the Independent Floor for which we already have RERA. One Group Housing for which we have already advanced set of approvals which we are planning to launch. And the third project for which we will receive substantial approvals by quarter 4. But we don't have plans to launch all project together first. For which RERA we have received, we plan to launch that and then followed by a Group

Housing. So, in this financial year, we have a plan to launch only the two projects. One is Independent Floor, one is Group Housing. Both are the different segment, different market and different kind of a buyer. So, it will not cannibalize each other.

Harsh : Sure. And the third one will be coming up in the next financial year around the first half , are we targeting?

Manoj Goyal : Yes, that is right.

Harsh : And my next question is on the hospitality asset. So, the 7 lakhs square feet , this is the Stellar Resorts, right?

Manoj Goyal : No. We have a property called Bel -La Monde. That is in the South Delhi.

Harsh : So, this is Bel -La Monde . And what is the update on Stellar Resorts, sir?

Amit Sarin : Stellar Resorts as of now is eligible for approval of about 7.5 lakhs per feet. As of now, it is up and running. In fact, it is not no longer Stellar, it is a different chain. So, that is all right. We are getting in fact more rent than what we were getting from the previous person. So, right now, it is freehold land, it is fully owned by the company. And as of now, our focus is on the Mehrauli project and the 63A and the Data Center . And as and when we want, we are going to take up Stellar . It is eligible for 7.5 million square feet. And it is going to be again a mix of commercial, hotel and service apartments. But as of now, the work is going on in the Mehrauli project.

Harsh : Got it, sir. And in this Bel-La Monde, the completion target is 2028, right?

Amit Sarin : Yes. The first phase will be done by 2028, sir.

Harsh : Yes. That is it from my side. Thanks a lot.

Amit Sarin : Thank you.

Anant Raj Limited

November 12, 2025

Page 10 of 24

Moderator : Thank you. The next question is from the line of Mr. Prateek from DAM Capital. Please go ahead.

Prateek : Hi, sir. Thanks for the opportunity.

Amit Sarin : Namaskar Prateek ji, How are you ?

Prateek : Namaskar, sir. All good, sir. Thanks for asking. Sir, the first question is largely on my empanelment of Cloud service providers. Are we looking to do that? And if yes, how does it work? How long does it take to get empaneled with MeitY ?

Amit Sarin : Mr. Ashim Sarin , we are actually almost done, almost there, but he will just clarify.

Ashim Sarin : So, we have already applied for MeitY empanelment, sir. And our last phase of audit has also completed successfully. We expect to get the approval within November, within this month only. So, we will be empaneled as a MeitY -approved Cloud service provider.

Prateek : Great. And sir, this 22 megawatt that we have added now. How soon can we start receiving rentals? Now, I guess that we have already started getting rentals for 2 megawatts, which you have handed over, because now 8 megawatts is totally handed. So, for the rest of the capacity, a quarter more?

Amit Sarin : Prateek ji, some will come in the Q3 and all of it will come in the Q4. It is in the handing over stage.

Prateek : So, the revenues of all 22 megawatts will come in Q4, is that what you are saying?

Amit Sarin : Definitely, yes, sir. The handing over will be completed within Q3, and you will see the full revenue potential coming in realizing in Q4.

Prateek : Understood. And sir, for your Rai project, where you have a significant Greenfield opportunity, are we looking at built -to-suit Data Centers as well? Any talks which we are having on that front or too early for that?

Amit Sarin : Prateek, initially, we are focusing on the 100 megawatts for which the building is already ready. The centering work has already started, and in the 63, 20 is going to be coming in Rai. So, next time when we do a soil -to-server or Bharat Built, we are going to showcase Rai also. And that is going to be 20 megawatts , sir, to start with. And then that 100 megawatts will be built is already there, which will get operational. And the balance 100 megawatts is going to be built -

to-suit. But that the built -to-suit work, we will start in 2028.

Anant Raj Limited

November 12, 2025

Page 11 of 24

Prateek : Understood, sir. I have two more bookkeeping questions, but I will join back the queue for that. Thanks.

Amit Sarin : Sure.

Moderator : Thank you. The next question is from the line of Mr. Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Hello. Am I audible, sir?

Amit Sarin : Yes. Namaskar, Vignesh ji.

Vignesh Iyer : Namaskar. Sir, I remember reading a press release where we targeted around INR 1,200 crores of revenue by FY '27 in Data Center . Is it correct to assume that this is from the mix of 36 megawatt Cloud and 81 megawatt Colocation, right?

Amit Sarin : Yes, sir. Definitely. We are fully on track.

Vignesh Iyer : Right. So, it would be 117 megawatt , out of which we are expecting to generate a revenue of INR 1,200 crores, right?

Amit Sarin : No, sir. This will be 63 megawatt . Once we achieve 63 megawatts , sir, which is by December '26. Take additional two to three months of handing over. And that is when we will start achieving this .

Vignesh Iyer : So, this is from 63 megawatt ?

Amit Sarin : This is from 63 megawatts , sir. This prediction is from 63 megawatts .

Vignesh Iyer : Right. Got it. And I wanted to understand, sir, could you give any guidance for FY '26 when it comes to sales and PAT ?

Amit Sarin : Sir, future numbers, we cannot give like this. But we are fully on track, sir. You can see the past records, sir. Whatever the company has discussed has always delivered, sir.

Vignesh Iyer : Right, sir. That is all from my side, sir. And all the best.

Amit Sarin : Thank you, sir.

Moderator : Thank you. The next question is from the line of Mr. Manan from Wal lfort PMS. Please go ahead.

Anant Raj Limited

November 12, 2025

Page 12 of 24

Manan : Yes. Thank you so much for the opportunity.

Amit Sarin : Hi, Mr. Manan.

Manan : Hello. Sir, my question was that I was looking at your Q2 FY ' 25 report and in that, sir, you have written that our full 307 megawatt would come in the next 4- 5 years. So, that would be around 2030. But in current ?

Amit Sarin : 2032, sir.

Manan : Yes. So, that is what I am trying to ask you. So, Q2 FY '25 report when I had seen, so that time it was next 5 years. So, I am assuming 2025 sales 2030. But now , we are seeing that in current reports you are saying that by 2032. So, what would be the factor which is delaying it by the next 2 years, taking it to 2032?

Amit Sarin : It is not actually a delay, sir. We are actually fully on track. It was always, we said maybe 5 years. If you really see it as 5 -6 years, when we say 2032, it is Financial Year '31-32. So, that is when we will be fully operational with 307, sir. So, frankly, that is what was from day 1 that is what we had in mind. Maybe we said 5 -6 years, but that is what we meant, sir. Financial Year '31-32, we will be able to unlock 307 megawatts .

Manan : Understood. That was my only concern. Thank you, sir .

Amit Sarin : Thank you, sir.

Moderator : Thank you. The next question is from the line of Mr. Gaurav Agarwal from VA Capital. Please go ahead.

Gaurav Agarwal : Good evening.

Amit Sarin : Good evening, Gaurav ji.

Gaurav Agarwal : Sir, I am very disappointed that you have not kept any con call in the last 3 -4 quarters. Because

I was really looking forward to the information in the last 4 quarters, there has been no con call?

Amit Sarin : Gaurav ji, we will just, are you based out of Mumbai, sir? So, we did 2 earning meetings and we had almost about 90-100 people in each meeting. But yes, we guess the con call has a far more reach. So, we will definitely do it every 2 quarters, sir. We have been interacting regularly, sir. If you see, you will see the notifications which we had made regarding the earning meetings which we did. So, for the past 2 quarters, we have been

doing earning meetings rather than calls.

But every 2 quarters, we will definitely, we will continue to do our meetings, but we will also do a call every 2 quarters.

Anant Raj Limited
November 12, 2025

Page 13 of 24

Gaurav Agarwal : And the guidance you have just given for the last quarter from Data Centers, you have said that the remaining 20 megawatts will also be priced, will come in the revenue. So, that means that you are expecting INR 75 crores of revenue from Data Centers in the last quarter?

Amit Sarin : Yes, sir. Maybe, we cannot give future projections, as you know, but we are fully on track, sir. And this 28 megawatts, we had showcased to everyone with the technology day on the 1st and 2nd of August. And now, it is in the handing over stage. The handing over will be completed by this quarter, sir. And the complete revenue will get captured in Q4.

Gaurav Agarwal : So, the revenue, the rental income for megawatt of Data Center is still at 90 lakhs?

Amit Sarin : It is almost, if you see, it is close to about 90 lakhs per month per megawatt for Colocation. And it will get fully captured in Q4, sir.

Gaurav Agarwal : And the margins, I believe, in earlier calls, I think someone has said that it is 75 lakhs of savings on a 90 lakh rental income, which is approximately 80% EBITDA margin, but now?

Amit Sarin : Yes, it is 75% EBITDA.

Gaurav Agarwal : 75%-80% is it?

Amit Sarin : Yes, sir. To be exact, 75%. It will go up only, sir. It will not go down.

Gaurav Agarwal : That is it from my side. Thank you.

Amit Sarin : Right, sir. Thank you.

Moderator : Thank you. The next question is from the line of Mr. Hardik from HPMG Shares and Securities Limited. Please go ahead.

Hardik : Namaskar, sir. So, just 2-3 questions from my end. First, on the real estate side, when we last spoke, we were discussing whether the circle rates will be revised by the Delhi government. So, what is an update on that?

Amit Sarin : So, circle rate with Delhi as of now, Mr. Manoj will answer that.

Manoj Goyal : Can you repeat your question? Because you are not clear. You are not audible.

Hardik : So, I was asking regarding the circle rates in Delhi where we mentioned that the real estate prices might go up because of the revised circle rates in Delhi and the government was planning to implement the new rates, but they were still in the planning stage. So, is there any significant update on that?

Anant Raj Limited
November 12, 2025

Page 14 of 24

Manoj Goyal : See, the revision in the circle rate is a routine process by the governments. They keep aligning the market value versus the notified rates. In case, there is a major deviation happening between the real market price and the government notified rates. It does not impact the pricing of the real estate at all. In fact, if there is a balance between the circle rate and the prices of the properties sold. It is always better for the people and for the organized market who do the organized real estate development. So, I don't see there is an impact on the pricing because of the changes in the circle rate.

Amit Sarin : So, for organized players, there could not be an impact. As you know, our focus is Haryana and Data Center business, so we are good. But actually, organized players never get affected with these things.

Hardik : Understood. And then coming on the Data Center business part of it. Sir, right now, we are nearly debt free. We don't have any significant debt. And we are seeing such a big traction in our Data Center business. All the multinational companies are planning to open up Data Centers. So, do you think it is the right time for us to get aggressive, take some debt on our books, ramp up, I know we have already raised some funds in the recent QIP. But to capture the market at the right time as well as get the capacities ready early, wouldn't that be a proactive approach?

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Amit Sarin : Harsh, we are on track. There is no limit to how much one can do. But with our plans, we are fully on track and we are capturing the market in the right way. If you really see that we started with Colocation, and we got such fantastic response on Colocation. And this is thanks to the product which we delivered, which we showcased also, and which is one of the best in the world. So, once we did that, then

we got a chance to come into the Cloud business also, which is not very long ago. We started our Ashok Cloud in October '24 and we got very good response and now we are multiplying that. So, we are on track, sir and we don't see that we need to take debt. And as it is, we feel that our backbone is still real estate, which will always be. And we feel that real estate should be as low on debt as possible. And we are comfortable, sir. We are not missing any opportunity because of that.

Hardik : Understood. And when are we planning to launch the other products related to Cloud ? I think so we did it. We spoke about SaaS, PaaS and services related to ?

Amit Sarin : Ashim will answer that. Ashim is here. He will just answer that.

Ashim Sarin : Basically, sir, we started with the infrastructure as a service for our Cloud services. And gradually, we are increasing the number of services. In fact, we have already moved on and started offering a few services which qualify as platform as a services also. Be it containerized services and all, we have already started offering these to our customers.

Anant Raj Limited

November 12, 2025

Page 15 of 24

Hardik : So, have we factored that in the revenue projections, which we have mentioned like in the future numbers, or we are not including them at all for now?

Ashim Sarin : So, that is not included at present . So, that will only increase the revenues now .

Hardik : So, I was just wondering what kind of a market size or opportunity is there? At least on a rough per megawatt basis, if you can just share with us ?

Ashim Sarin : So, basically, once you move on to platform as a service, from infrastructure as a service, the revenues can double.

Hardik : And this is just for the Cloud , right?

Ashim Sarin : Yes. Colocation is basically the infrastructure that we give to the customers. We give them racks with the complete infrastructure connected. And Cloud services, we have got infrastructure as a service and platform, and then finally software as a service, and then managed services. So, sky is the limit as far as Cloud services are concerned.

Hardik : Understood. That is it from my end . Thank you so much. All the best.

Moderator : Thank you. The next question is from the line of Mr. Harish from Nirmal Bang. Please go ahead.

Harish : Hello, sir.

Amit Sarin : Namaskar, Harish.

Harish : Namaskar, sir. I heard that INR 1,200 Cr revenue from Data Center will come in Financial Year '27. Is it correct or have I misunderstood?

Pankaj Gupta : Sir, we will develop the Data Center to the extent which will be able to generate INR 1,200 crore s in next financial year with full occupancy. That has been given there.

Amit Sarin : Sir, partly it will come next year and partly in the next to next year .

Harish: Total it will come in Financial Year 2028 that is what you are saying?

Amit Sarin: Absolutely. And its substantial amount will come in 2026- 27, and it will come completely in 2027- 28.

Hardik : Out of how many megawatts will it come in total?

Amit Sarin : It will come from 63 megawatts , sir whatever will increase that would be additional .

Anant Raj Limited

November 12, 2025

Page 16 of 24

Hardik : Sir, you have also considered the target of Cloud in this ?

Amit Sarin : Yes, sir. We told you that our Cloud will contribute about 6 megawatts, and the rest will be Colocation. It will come from the mix of these two, sir.

Hardik : And for that, we have sufficient

capital, or we need to raise?

Amit Sarin : We have sufficient capital, sir. Absolutely, we have the capital, sir.

Hardik : Sir, there was one more request that if you can manage conference call every quarter, then it will be great.

Amit Sarin : Sir, we will definitely do every 2nd Quarter , sir. And now we do earning meetings that we will keep doing that, sir. We will not reduce it. But yes, it was that we did the earning meetings in good amount the last 2 quarters, and we got such a good response in that. We were meeting almost 90 plus people, so we thought there are only so many people in the call, so we just thought, but the call is also required, sir, and we will definitely do every 2nd Quarter , sir.

Hardik : Is there any way to join in the earning meetings?

Amit Sarin : We do publicize, sir. It is complete. We will let you know. Are you from Mumbai, so we do it in Mumbai only.

Hardik : That means you will have to be physically present for that.

Amit Sarin : Yes, sir. But for 2nd Quarter , you will definitely get a call. Done.

Hardik : Yes. Thank you, sir.

Amit Sarin : Thank you, sir.

Moderator : Thank you. The next question is from the line of Mr. Prateek from DAM Capital. Please go ahead.

Prateek : Hi, thanks for the opportunity again, sir. Book keeping questions, sir. So, out of the INR 35 crores revenue in Data Center s, how much of it came from Colocation and how much from Cloud ?

Pankaj Gupta : Sir, Colocation is INR 21.6 crore s and from Cloud it is INR 13.87 crores.

Prateek : And the way we are accounting for Colocation is these are net revenues, right? Net of power pass-through?

Anant Raj Limited
November 12, 2025

Page 17 of 24

Pankaj Gupta : Yes, sir.

Prateek : So, is that how we are going to account going ahead as well? Because usually our peers account by adding power pass -through to the revenue , I am not sure how the accounting principles are, but is that how we will be going ahead as well? Net of power pass -through?

Pankaj Gupta : Sir, for Colocation , we will always do the netting of electricity pass through expenses . And for Cloud we charge for that.

Prateek : Understood.

Amit Sarin : In Colocation it is a pass -through that is why we don't have to do it but in Cloud it is our expansion because we are giving the end product.

Prateek : Correct. And on the real estate side from Group Housing, one, if you can help us, how much collection or booking value is left to be collected? So, how much of it is pending to be received?

And how much of the cost is pending to be spent on Group Housing one?

Pankaj Gupta : So, sir, for Group Housing, we have already collected INR 428 crore out of INR 1,850 crores.

Prateek : And cost, how much is left to be spent?

Pankaj Gupta : Cost, sir, it is INR 322 crores.

Prateek : Has been spent?

Pankaj Gupta : Has to be spent. Already spent is INR 168 crore s.

Prateek : Understood, sir. That is all from my side. Thanks.

Pankaj Gupta : Thank you.

Moderator : Thank you. The next question is from the line of Mr. Sri Gopal from StockHifi.com. Please go ahead.

Sri Gopal : Hello.

Amit Sarin : Namaskar Sri Gopal. Yes, if you speak a little louder, it will be better, sir.

Sri Gopal : Sir, the results which you released, why don't you give segmental breakup, real estate separately and Data Center separately?

Anant Raj Limited
November 12, 2025

Page 18 of 24

Amit Sarin : Sir, we have given that. You can see our presentation. We have given that too. In this, you have to give segmental breakup once you do 10%. When you come in numbers, when you do 10%, sir. That has not happened yet. As it is 58 crores , sir. And your total revenue, you have done Q2, that is 1 ,200 crores and something. So, that 10% mark has not come yet, sir. But we have given everything in our presentation.

Sri Gopal : But in the presentation, you have given revenue breakup?

Amit Sarin : Sorry, sir,

r.

Sri Gopal : No, in the presentation, you have given revenue breakup, but not EBITDA breakup?

Amit Sarin : EBITDA breakup will be given here, sir. EBITDA breakup, we have given you the number. We will tell you about it.

Pankaj Gupta : So, sir, we have generated the revenue from Data Center business in this quarter is INR 35.47 crore and the EBITDA margin is 75%.

Sri Gopal : Fine, sir. Sir, one more question. Earlier, you had given the cost of building per megawatt is around INR 50 crores. Does it remain the same or is there any change in it, sir?

Amit Sarin : No, it is, in our case, our additional spent because our existing buildings have qualified. We have strengthened and made everything ready. So, our additional spent is 26 Crores , sir.

Sri Gopal : Thank you.

Amit Sarin : Thank you.

Moderator : Thank you. The next question is from the line of Ms. Vidhi Shah from C. R. Kothari and Sons. Please go ahead, ma'am.

Vidhi Shah: Sir, could you please repeat what you said for the revenue by FY ' 28? How much will come from Data Center and how much will come from Cloud ?

Amit Sarin : Ma'am, we cannot give future numbers. But like we just told you that as of now, the differential is 75% is Colocation and 25% is coming in from Cloud . And future numbers we cannot give

like this.

Vidhi Shah: So, you said Data Center gives 90 lakhs per month per megawatt?

Amit Sarin : Yes, for Colocation , ma'am, Colocation .

Anant Raj Limited

November 12, 2025

Page 19 of 24

Vidhi Shah: Yes, Colocation . So, could you share for Cloud ?

Amit Sarin : Ma'am, Cloud is about per month is approximately INR 12 crores, ma'am.

Vidhi Shah: INR 12 crores per month per megawatt?

Amit Sarin : Yes, ma'am.

Vidhi Shah: And the EBITDA margin for both of these is 75%?

Amit Sarin : Yes, ma'am.

Vidhi Shah: And will there be any scope of improvement in further years or it will remain in this ?

Amit Sarin : Ma'am, because as we add on, ma'am, Colocation should remain stable. And as we add on services like, Ashim just told us when we were discussing previously in the call on a previous question. As we go on adding services, hopefully, these margins will further go on improving now.

Vidhi Shah: And this EBITDA that you mentioned, does it exclude power cost or is it included in that?

Amit Sarin : Ma'am, in the case of Colocation , there is no power cost because it is a pass-through. But yes, in the case of Cloud , it includes the power cost.

Vidhi Shah: All right. Thank you, sir. And all the best.

Amit Sarin : Right. Thank you.

Moderator : Thank you. The next question is from the line of Mr. Viral from SMG. Please go ahead.

Viral : Yes. Thank you for the opportunity.

Amit Sarin : Yes. Hi. Namaskar.

Viral : Yes. Hi. So, few quick questions from my side. So, first of all, the residential sale have been continued to gain the traction. So, could you share the contribution from the Anant Raj Estate and other key project?

Manoj Goyal : See, hi, Viral , Manoj Goyal here . So, the major revenue that comes to our balance sheet is from 3-4 segments. One is the residential, one is the rental income and other is the Data Center business. So, the majority of revenue contribution, because we book the revenue on a percentage

Anant Raj Limited

November 12, 2025

Page 20 of 24

completion basis, is from the Anant Raj Estate, which is the residential component. So, I think majority is coming from the Anant Raj Estate and the projects like Ashok Estate and Data Center .

Viral : And what is the percentage of the total residential inventories being sold? And what is the expected timeline for monetization on the remaining units?

Manoj Goyal : So, see, I think these are like kind of a detailed business plan detailing. So, I think we can have a separate call on that.

Viral : That will work, sir. And are there any upcoming residential launches planned for FY ' 26 or 27? And what

could be the expected size or the ticket range?

Manoj Goyal : Yes. So, if you look at the presentation and the board update that we have given, we have 3 projects which are in a very advanced stage of the preparation of the launch. One is the Phase - IV of Anant Raj Estate over 6 acres, having 5 lakh square foot of development potential, for which we already received the RERA registration. RERA registration means we are permitted to sell in the market now. The another high rise over a million square feet, 1.09 million square foot, for which we have received an advanced stage of approval for the launch. The launch preparation is an advanced stage. And the third project, again over 5.5 acres, having a million square foot of potential. We are targeting to have a majority of approval to launch by Q4 FY '26 . So, these are the 3 major events or launches, which is under preparation for the launch.

Viral : Thank you, sir, for sharing a clear picture on that. My last question was, how are you seeing the demand trends in the luxury versus the mid-income segment, especially across Gurugram and Delhi market?

Manoj Goyal : See, Gurugram has like you can slice it into 4 parts. We operate on a slice, which is the most luxurious market, which is the Golf Course Extension Road. Golf Course Extension Road is known for the market development. There are a lot of projects that is going, which is valued from a ticket size of INR 50 crore -INR 100 crore as well. In this micro market, the supply is very limited. The pocket development and concentration is there. And the demand in this micro market is always higher compared to the rest of the part of the Gurugram. So, this is the Gurugram. In Delhi, there is no supply. There is a very limited supply and there is a huge demand for the luxury projects .

Viral : Yes, sir. Got it. Thank you. All the best.

Manoj Goyal : Thank you.

Moderator : Thank you. The next question is from the line of Mr. Manan from Wal lfort Portfolio Management Services. Please go ahead, sir.
Anant Raj Limited
November 12, 2025

Page 21 of 24

Manan : Yes. Thank you for the opportunity again.

Amit Sarin : Namaskar.

Manan : Yes, Namaskar. So, my question is related to what is actually giving you so much confidence that we will be able to lease out or rent out all of our capacities b ecause we can see that in our South India or South Bombay side, there are many other MNCs also like Brookfield, they are struggling to get all of their capacities online. So, what is giving you such confidence that you will be able to successfully get all of your 307 megawatts online?

Amit Sarin : Sorry, you can finish your question and we will answer.

Manan : You can supply all of the 307 megawatts and people will like, companies will be using it. It will be online.

Amit Sarin : See, Manan, we are doing this business in two segments. We are doing Colocation where we provide up to the rack with complete infrastructure. And like we told you, we have been able to establish a good world -class facility and then we are doing Cloud . As of now, we are doing infrastructure as a service and slowly , we are adding more services to it. And actually, sir, we cannot comment on South India, but today in North India, there is no dearth of demand. As you know today India generates, this is a factual point, sir, which you can verify. India today generates 28% of the data in the world and India houses today only 1%. And today, all countries today are realizing and they want to get their data back and keep it in their own country. Unfortunately, even our country is doing it. So, with this happening, this data eventually has to come back to the country. So, we do not see any dearth of demand here. Our Prime Minister, as we very proudly say, was the first leader in the world who in 2019 started talking about data localization and today, everybody wants to do it. So, as of now,

there is no dearth of demand,

sir. And this demand is actually going to go multifold , sir. I don't know what product they have launched, the people you are talking about, we don't know about the product they are launching into the market. But these two segments have good demand, sir , very good demand.

Manan : Understood. That is it from my side. Thank you.

Amit Sarin : Thank you.

Moderator : The next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma : Yes, just to follow up and thank you very much for that.

Amit Sarin : Yes. Hi, Ashwani . Hi again.

Anant Raj Limited
November 12, 2025

Page 22 of 24

Ashwani Sharma : Sir, the 35 megawatts commission that we have started, this is at which location? This is at Panchkula ?

Amit Sarin : Ashwani , 20 megawatts is in Rai, sir. And the balance is in Manesar. And our buildings are ready in both places, sir.

Ashwani Sharma : Got it. And sir, the second question I had was that since the power cost which you mentioned earlier that is passed thro ugh in Colo, but it is not passed through in the Cloud . So, margin, how does that work, sir? Mathematically, how that works?

Amit Sarin : Yes, Ashim will answer that.

Ashim Sarin : Basically, the revenues that you get in Cloud are much higher here, sir. So, the electricity cost is absorbed.

Ashwani Sharma : That takes care of the electricity cost and all?

Ashim Sarin : Yes.

Ashwani Sharma : So, it is around 75% for both Cloud and the Colo?

Ashim Sarin : Yes, sir. And see, the basic principle behind Cloud is the customer is coming to you because he does not want to invest in hardware or software and he only wants to concentrate on his core business. So, that is why he is availing Cloud services from you so that you are handling everything for him. So, he does not want to be bothered with the electricity cost also. So, you give them a turnkey solution.

Ashwani Sharma : Yes. So, when you look at Cloud, obviously, these are like sometimes the demand of the power is very high. It also depends on the client's usage. So, as an infrastructure provider, can you charge more on the availing the power which suddenly client is asking? Is there a probability in that you can charge more?

Ashim Sarin : So, basically if they are going to actually use more, that means they will be taking more storage, more virtual machines from you. And your revenue depends on whatever capacity they are taking from you. So, in case their power is increasing, that means they are taking more capacity

for which they are paying you.

Ashwani Sharma : All right, sir. Best wishes, sir.

Ashim Sarin : Yes. Thank you very much.

Anant Raj Limited

November 12, 2025

Page 23 of 24

Moderator : Thank you. The next question is from the line of Mr. Akash Gupta from Nomura Group. Please go ahead.

Akash Gupta : Hi, sir. Thank you for taking up my follow-up question. Just to understand on the electricity cost thing. So, for instance, if the electricity prices go up, will it be a downside risk to our Cloud EBITDA margins or do we have any contract in place that safeguards us from any rise in electricity prices?

Ashim Sarin : Basically, sir, we have clauses which say that the prices are based on the current market cost. So, if the electricity cost is going to go up, we charge more to the customer. If they go down, then, of course, the benefit can be passed on to the customer.

Akash Gupta : Understood. And just my last question, I just wanted to understand on the economics of this Cloud business. So, like the payback period is roughly 2 years. I think that we are getting roughly INR 150 crores per megawatt. And our CAPEX is roughly INR 126 crores per megawatt. The question is that why shouldn't a customer just do the CAPEX himself instead of going to you for Cloud ? So, that is my question? Just wanted to understand what is the thought pr

ocess for the customer?

Ashim Sarin : So, basically, when we set up the Cloud, there are many customers or within the customer, they have got various departments who don't need the complete hardware for them. They don't need to use the complete server. And also, because we buy licenses in bulk from all the OEMs and the equipment, we are able to offer them better pricing. And also, we give them managed services. So, whoever is availing of our Cloud services, they get 24-hour service also from our end. So, they don't need to have their own separate IT team to manage their business.

Amit Sarin : Ultimately, all businesses are like that. If you really see, this is somebody doesn't want to have the headache. There is somebody, if you start doing it yourself, there is somewhere you will keep the primary Data Center, then you will have the secondary, then you have the DR. So, I would say what we have been in this business for almost 3.5 – 4 years now, up and running it. And we realized that a lot of people do. In fact, 99% people do not want the headaches of doing all this. Because if you start putting your own servers, then you are a hyperscaler. So, everybody doesn't want to become a hyperscaler. They want to focus on their own business line.

Akash Gupta : Got it, sir. Makes sense. Thank you so much, sir.

Amit Sarin : Thank you.

Moderator : Thank you. Ladies and gentlemen, in the interest of time, this was the last question for the day. I would now like to hand the conference over to the management for closing comments. Please go ahead, Amit sir.

Anant Raj Limited

November 12, 2025

Page 24 of 24

Amit Sarin : We thank everybody for joining us and taking out the time to listen to our earning calls. We will keep up the good work. We will be disciplined. And like we have been in the last 4.5, 5 years and we will keep delivering. Thank you very much for the faith. And all the best to everyone. Thank you.

Moderator : Thank you, sir. On behalf of Anant Raj Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.